Japanese Activist
Introductory Presentation

March 2018

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PLEASE SEE APPENDIX: IMPORTANT DISCLOSURE FOR ADDITIONAL IMPORTANT DISCLOSURE INFORMATION.

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Executive Summary

➢ Strategic Capital, Inc. is an entirely independent Japanese activist fund manager based in Tokyo. The investment manager is unique among Japanese managers to employ a face-to-face, persistent and at times aggressive approach to unlock shareholder value among especially asset rich and undervalued listed companies.

Fund

- Japanese listed equities only
- Long only portfolio, 8 - 12 small cap. stocks
- Stable defensive businesses with strong cash flow and significant accrued assets
- Stocks which trade at value due to less than optimal corporate governance and financial structure

Strategy

- Outspoken and determined shareholder
- Focus on the effective use of existing assets held by investee companies
- Personal or confrontational depending on the situation
- Experienced and willing to use full range of shareholder rights
- Value creation via attainable corporate governance improvements and sensible financial structure reforms

People

- Tsuyoshi Maruki (President) a pioneer activist investor in Japan since 1999
- Dan Kato (Senior Managing Director) an activist investor in Japan since 2004
- Stock selection and campaign execution drawn from experience of 60+ activist campaigns in Japan
- Experience managing over USD 4 billion in a similar Japanese activist strategy

History of Strategic Capital, Inc.

28th September 2012

- **Investment Management Company** founded (Specially Permitted Business for QIIs* licence)

4th December 2012

- **Japan onshore fund inception** and strategy launched as Japanese Limited Partnerships

25th June 2014

- **Registered Investment Manager** (for QIIs only)

19th September 2014

- **Launch of the Cayman Islands Unit Trust** and the transfer of all interests from onshore Japan structure to a single Cayman Islands Unit Trust

10th September 2015

- **Discretionary Investment Management** registration completed

5th October 2017

- **Funding of the Cayman Islands Limited Partnership** (Cayman Islands Limited Partnership) Feeder Fund & USD share classes

- **Regulated and member of:**
  - Japan Financial Services Agency
  - Kanto Local Finance Bureau (Kinsho) No. 2786
  - Japan Investment Advisors Association (registration number: 012-02665)

**QIIs* – Qualified Institutional Investors

Founding Principals & Investment Committee

Tsuyoshi Maruki (President)

- 2012: Launched Strategic Capital, Inc. due to the intrinsic value in the Japanese equity market
- 2008 - 2012: Personal public and private investments, worked with Dan Kato again from 2010
- 2001 - 2007: Partner and Head of Investment Management at MAC Asset Management
  - The flagship 'MAC Japan Active Shareholders Fund' grew to JPY 444 billion at peak
  - Responsible for all aspects of stock selection, portfolio management and communication with investee company management
  - In 2007 stayed at MAC to prudently liquidate the portfolio for investors
- 1999: Founding Partner at M&A Consulting
  - Japan's first activist fund, name later changed to MAC Asset Management
- 1985 - 1999: Deputy General Manager at Nomura Securities
  - Capital Markets Department
  - Responsible for underwriting equity financing transactions and financial advisory
- Graduate of Tokyo University with BA in Law

Dan Kato (Senior Managing Director)

- 2012: Launched Strategic Capital, Inc.
- 2010 - 2012: Worked with Tsuyoshi Maruki again on several private equity deals
- 2007 - 2010: Managing Director at Aetos Japan LLC
- 2004 - 2007: Managing Director at MAC Asset Management
  - Senior investment professional responsible for investments at the MAC Japan Active Shareholders Fund and MAC Private Equity funds
  - Stayed at MAC to wind down the portfolio
- 1986 - 2004: Senior Portfolio Manager at Norinchukin Bank
  - Responsible for establishing and investing Norinchukin Banks JPY 500 billion alternate fund portfolio
  - One of the first Japanese banks to develop an alternative fund investment programme
- BA from Tokyo University and MBA graduate from UCLA Anderson Business School

Team

Investment and Trading:

Tsyoshi Maruki
(President)
13 years activist investment experience
35 years financial industry

Dan Kato
(Senior Managing Director)
9 years activist investment experience
31 years financial industry

Toshiyuki Yamashita
(Senior Managing Director & Head of Trading)
14 years trading experience
26 years financial industry

Compliance and Operations:

Kiyoshige Ichikawa
(Director, CCO, Internal Audit)
19 years compliance
40 years financial industry

Nobumi Kuboyama
(Office Manager, Back Office)
17 years accounting & administration experience

Henry Wake
(Principal, Investor relations)
8 years alternative fund investor relations experience

Statutory Auditor:

Shinichi Nakashio
(Statutory Auditor and Chairman of BDO Toyo & Co.)
25 years accounting experience

External Research Analyst:

Atsuko Shingyouchi
(Equity Research)
17 years equity research and underwriting experience

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Market

- Approximately 613 Japanese listed companies with a PBR of <1 and market cap. between JPY 10 to 100 billion as of December 2017
- There are opportunities at all size of companies in Japan from a bottom up perspective, however companies with a market cap. <USD 1 billion offer a compelling balance of deep value, stability, potential to improve and appropriate liquidity
- Focus on businesses with robust operations and profitability that are not in need of significant operational change or improvements
- Low valuations principally due to rectifiable corporate governance issues and balance sheet issues
- The Japanese companies with the most accrued cash and assets tend to be those with weaker corporate governance initially

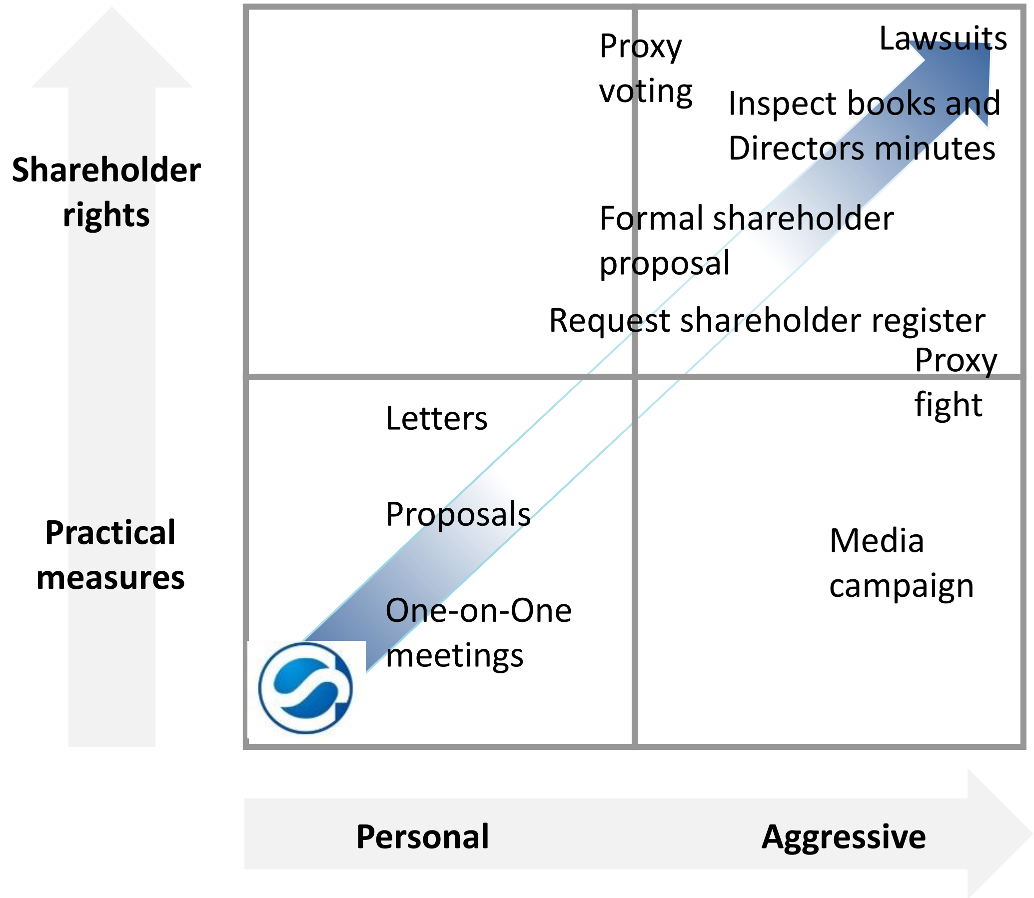
Philosophy

- The excess hoarding of cash and assets by Japanese corporates is a major contributor to Japan's economic situation for the past 25 years and silent Japanese shareholders are in part to blame
- Significant shareholder value exists in corporate balance sheets which can be unlocked by reasonably attainable corporate governance improvements and financial reforms
- The majority of company management teams will see or learn the benefits of the investment managers proposals, however change can sometimes be difficult so tenacity, creativity and determination is required
- Excellent opportunities lie in companies with management teams that have not been held accountable to shareholders in the past
- It is important to strategically wield so called more aggressive means and shareholders legal rights in order to gain management teams attention and cognition

Edge:
Aggressive Activism, Japanese Approach

1. Campaigns start privately employing a **personal and face-to-face** approach to persuade investee company management. There is a preference to influence company management teams by passion, education in a non-threatening and non-public way.

2. Over time, increase pressure by **strategically using more aggressive means** to add pressure on company management



To be most effective we are:

- Based in Tokyo and hold ongoing face-to-face dialogue with portfolio company management teams
- Keep all activist tools 'on the table' and be versed and willing to exercise rights when required
- Flexible and persistent

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Proprietary Advantages

Face-to-Face & personal – Local advantage

- Tenured life time careers at major Japanese finance institutions with associated relationships and standing
- Regular interactions with C-level company management, not just at the investee company but also at all other stake holders including parents, subsidiaries and cross-share holders to understand management and adapt proposals and strategy
- Effectively influenced 60+ Japanese management teams to improve corporate governance and make changes to financial structure to date
- Proven ability influencing Japanese management teams to adopt changes without the use of legal means or the support of other shareholders

Confrontational & legal – Extensive Experience

- Experience of exercising shareholder legal rights since 1999 and moving claims through Japanese courts
- History of campaigns at MAC Asset Management and Strategic Capital, Inc. of influencing companies via more aggressive means
- Proven ability to navigate complex and defensive Japanese share holding structures
- The reputation and history of aggressive action is also a useful tool so that other investee company management teams seriously consider and can not ignore the investment managers proposals

Differences to Competitors

Japanese engagement managers

- Restriction to gentle persuasion only
- Do not use the full range of share holder rights
- Often have a focus on operational consulting and improving fundamentals
- As such, campaigns may be of longer duration and have risks associated with new business strategy or turn around
- Campaigns may also have fewer tangible catalysts to exit and lack a clearly defined plan to reach sell targets
- There are numerous engagement funds looking for a particular kind of management team, as such it is a more crowded space

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- Face-to-face Japanese approach, but direct and outspoken relative to all other Japanese managers to clearly explain to management what they need to do
- Ability to use shareholder rights
- Value creation based on effective use of existing assets (not assuming growth)
- Focus on the improvement of corporate governance and financial structure
- Multiple quantifiable routes to exit prior to entering a position
- Campaigns can have a shorter duration as financial structure improvements can be relatively quickly implemented by management

Overseas activist managers

- Usually invest in mega cap./house hold names only which tend trade at much higher valuations
- Typically employ more aggressive means only, such as media campaigns, which can sometimes lead to management teams becoming particularly defensive and less open to dialogue
- In the past seemed to have difficulty maintaining an effective dialogue with management teams
- Inherent Western economic rationality and expectations of the behaviour of management teams and often other shareholders
- Generally have less Japan-specific activist campaign experience to draw on
- Some times have unrealistic expectations about what is possible in Japan

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Track Record

Objective:

- To maximize investor returns by pressing management of portfolio companies and/or other shareholders to adopt financial and structural improvement plans

Track record *(net):*

Year		Jan.	Feb.	Mar.	Apr.	May.	Jun.	Jul.	Aug.	Sep.	Oct.	Nov.	Dec.	Ann. Ret.	Ann. Vol.
2018	Japan-Up	-1.58%	2.30%											**0.69%**	**9.51%**
	TOPIX	1.05%	-3.73%											-2.71%	11.71%
2017	Japan-Up	1.09%	1.15%	2.63%	1.79%	2.56%	4.85%	1.20%	-0.14%	5.07%	1.54%	-2.08%	2.67%	**24.51%**	**6.78%**
	TOPIX	0.20%	0.90%	-1.48%	1.27%	2.39%	2.78%	0.42%	-0.07%	3.55%	5.45%	1.48%	1.42%	19.69%	6.39%
2016	Japan-Up	-6.08%	-6.36%	8.91%	0.67%	0.07%	-7.59%	6.92%	0.39%	-2.30%	5.31%	6.72%	2.70%	**7.91%**	**19.30%**
	TOPIX	-7.45%	-9.37%	3.80%	-0.49%	2.93%	-9.71%	6.17%	0.51%	-0.51%	5.31%	5.49%	3.35%	-1.85%	20.06%
2015	Japan-Up	-1.67%	2.46%	0.32%	6.10%	2.75%	-1.28%	3.49%	-1.54%	-2.93%	3.77%	4.89%	-0.64%	**16.35%**	**10.30%**
	TOPIX	0.54%	7.69%	1.26%	3.22%	5.08%	-2.58%	1.79%	-7.38%	-8.19%	10.42%	1.42%	-2.09%	9.93%	19.06%
2014	Japan-Up	2.12%	-2.30%	-0.38%	-1.05%	2.35%	8.85%	1.30%	2.45%	4.56%	-1.01%	-4.93%	2.35%	**14.53%**	**12.28%**
	TOPIX	-6.27%	-0.74%	-0.72%	-3.36%	3.35%	5.09%	2.13%	-0.89%	3.78%	0.55%	5.75%	-0.20%	8.08%	12.27%
2013	Japan-UP	9.51%	5.12%	5.79%	7.36%	-3.81%	-7.33%	0.46%	-1.49%	8.22%	1.43%	7.87%	1.95%	**39.25%**	**18.44%**
	TOPIX	9.36%	3.77%	6.05%	12.60%	-2.52%	-0.17%	-0.19%	-2.27%	7.96%	0.01%	5.39%	3.47%	51.46%	16.70%
2012	Japan-UP												4.98%	**4.98%**	
	TOPIX												9.95%	9.95%	

****Note*: Strategic Capital, Inc. transferred all assets from two Japanese Limited Partnerships to Cayman Unit Trust on the 19th September 2014. Performance before the 19th September 2014 represents the Japanese Limited Partnerships and after the 19th September 2014 represents the Class A shares of the Japan-Up Unit Trust (Cayman Unit Trust). The performance is adjusted to keep continuity as much as possible. All figures are calculated after deduction for all fees and expenses (including the success fee). Performance fee is even out on daily base rather than deducted annually. Past performance does not guarantee future results.*

Idea Generation & Research Process

Screening attributes

- Market capitalization
- Cash & marketable security holdings
- Assets & shareholdings
- PBR
- EV/EBITDA
- PER
- Dividend payout ratio
- ROE
- Liquidity

Ideal investee company

- Significant cash and marketable security holdings
- Stable, non-cyclical cash flow and healthy operating margins
- Low valuation, less than <1xPBR
- Low RoE, PER, EV/EBITDA as a result of financial structure
- Potential to solve problems to increase shareholder value

3,600+: listed securities. Screening by numbers using typical valuation methodologies

200: under valued stocks identified for individual review of public securities report

6 - 10: Individual investment team members propose investment ideas (thesis, activist value add, entry and exit price)

3 - 5: Team decides on best ideas by consensus

Review of analyst and third party reports and discussion

2-3: Final discussion of position size and prices

Final portfolio: **8 - 12**

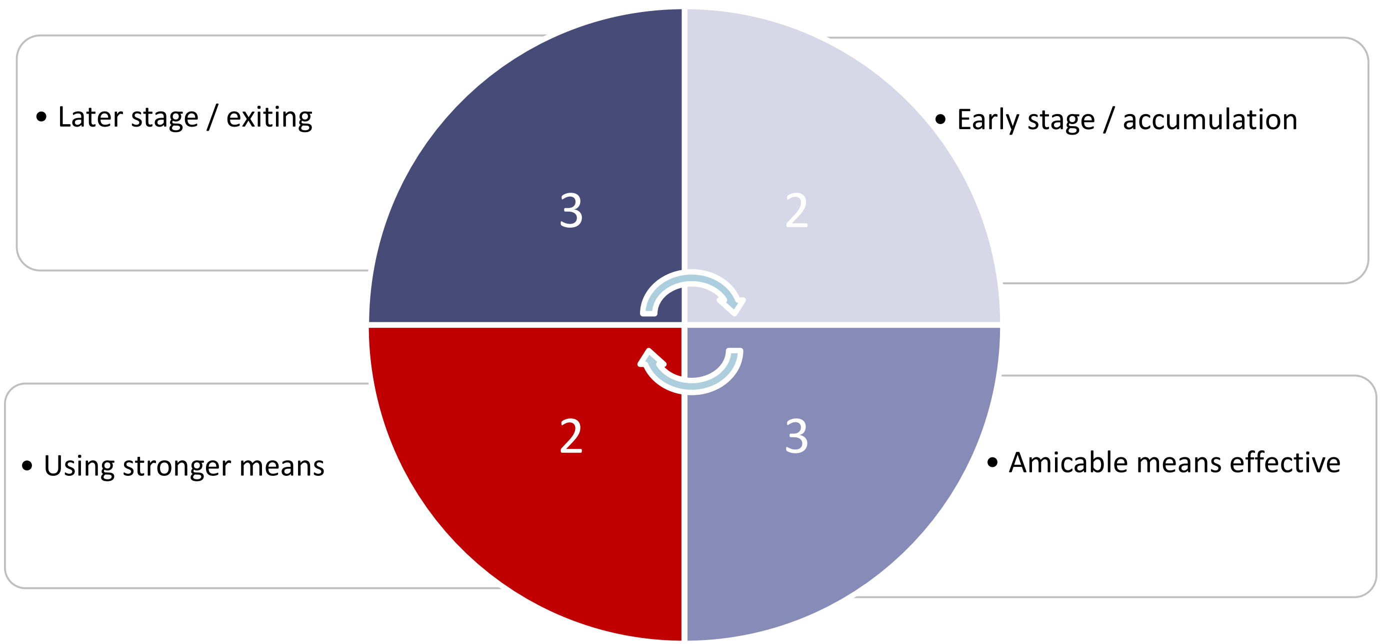
Ongoing monitoring, review & consensus building

Expertise: An Outspoken & Professional Shareholder

Corporate Governance Improvement	• Appointment of truly independent and external directors • Align management interests with share price • Run off poison pills and other defensive measures • Educate on importance of shareholder value
Management Improvement	• Improve investor relations and transparency • Commit to and disclose a medium term business plan • Growth strategy for core-business lines • Suggest strategies to improve RoE and to use cash
Balance Sheet Clean Up	• Divest underperforming or non-core business lines • Reduce/mark down inventory & facilities • Unwind cross-share holdings, divest securities & real estate • End dual Parent / Subsidiary listings
Optimize use of assets to increase equity value	• Share-buy backs • Increase dividend • M&A, strategic business and capital alliances • Re-allocate proceeds of asset-sales and cash to more optimal use

Portfolio: Diversified by Campaign

- Number of companies: Typically 8 - 12
- Range of time in portfolio: 6 months to 4 years 2 months
- Position size at entry: 8 - 12.5% of NAV (accumulated and sold over several months)
- Target return: 20-25% derived from manager influence
- Company size: JPY 10 to 50 billion market cap. range as of Q4 2017 (due to Fund size)
- Ownership: 3 - 15% of a companies outstanding shares (core positions)
- Investment allocation: Diversified by 'difficulty to persuade company management' and expected campaign duration



Number of companies
Iterative example of typical portfolio

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Portfolio: Risk Management

I. Deep value buying in companies with significant cash & equivalents (typically from 50% -100%+ of market capitalization) to provide inherent down side risk protection

II. Long cash equity portfolio

III. Low leverage

IV. Significant amount of principals own net worth invested in the Fund

V. Long term and persistent – Adjust campaign methods until shareholder value creation is achieved

VI. CCO formally monitors daily trading volume and days for full liquidation (both low and high market impact)

VII. No position ever larger than 20% of NAV

VIII. Do not try to predict the market or outcomes beyond proposed action

IX. Value realization based on use of existing assets and less reliant on operational turn around or growth

X. Disciplined buy/sell valuations prior to entry

XI. Prefer stable companies in defensive sectors

Strategy risks:

- Management remain intractable:
  - Diversified to mitigate this risk with no more than 30% of Fund NAV exposure to companies that could be more difficult to influence or take more time
- Decline in business results:
  - Monitor business results closely, take action (e.g. finding a strategic buyer) if material decline of business

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Why invest in companies that could be more difficult to influence?

- Deep value due to poor investor relations & corporate governance
- Typically companies which have been less accountable to share holders in the past are the most asset/cash rich
- Greater upside potential even with minor changes– It is worth the time
- Less crowded space (no engagement funds are looking at these companies)
- Strategy tool – To make it easier to influence other portfolio companies

Changes to Policy and Sentiment (2013 – 2017)

2017

- On the May 29th 2017 the **Stewardship Code** was updated to urge institutional investors to disclose voting records on an individual investee company basis, rather than on aggregate basis. This is supported by GPIF who strongly urge their asset managers to comply
- On the March 30th 2017 the FSA newly creates the **Principles of Fiduciary Duty** which strongly recommends financial business operators to adherer to a set of basic fiduciary and customer-centric principals on a comply or explain basis

2016

- On June 2nd 2016 an updated version of the national **Japan Revitalization Strategy** stated that corporate governance is still a top priority of the Abe-Cabinet and efforts to improve should come into effect in 2017.

2015

- The **Corporate Governance Code** is finalized on March 5th 2015 and enters force for TSE listed companies on June 1st 2015
- Listed companies must comply or explain their reasons for not appointing external directors
- Institutional Shareholder Services declares it is not supporting management with less than a 5% RoE
- From June 1st 2015 all listed companies are required to file a **Corporate Governance Report** within their next fiscal year

2014

- On the June 20th 2014 the **Japan Companies Act** was amended to require listed companies to explain in their annual report why they do not have one or more independent director
- The FSA introduced the **Stewardship Code** on February 26th 2014 which defies the responsibilities of institutional investors
- The creation of the **Nikki 400 Index** by TSE on January 6th 2014 to recognise companies with good corporate governance
- Institutional Shareholder Services declares it is not supporting companies with out independent directors

2013

- National government policy changed to place a major emphasis on enhancing corporate governance and RoE in Japan
- The **Japan Revitalization Strategy** was ratified on the 14th of June 2013 and included strengthening corporate governance in Japan as a core priority
- Discussion to introduce independent board members
- Urge disclosure of proxy votes and conflicts of interest

Equity Valuations

Market Capitalization	<JPY 10 billion	JPY 10 - 30 Billion	JPY 30 - 50 Billion	JPY 50 - 100 Billion	JPY 100 - 300 Billion	JPY 300 - 1 Trillion	>JPY 1 Trillion
Number of Companies	1,150	942	339	362	387	235	133
Median PBR	1.09	1.29	1.32	1.42	1.57	1.72	2.03
Median PER	16.09	16.07	17.27	17.49	19.65	19.23	18.72
Median EV/EBITDA	7.22	7.62	7.86	8.37	9.48	10.57	10.57
% of firms with positive EBITDA	90.7%	95.3%	96.5%	98.1%	99.5%	99.1%	100.0%
% of firms with positive net cash position	54.1%	62.1%	63.1%	62.2%	58.1%	50.2%	48.9%
% of firms with net cash, marketable securities and a market value of leased real estate exceeding 30% of market capitalization	36.7%	34.6%	33.9%	29.6%	26.6%	18.3%	9.0%
% of firms with net cash, marketable securities and a market value of leased real estate exceeding 50% of market capitalization	25.0%	20.8%	19.2%	12.7%	11.1%	8.9%	6.0%

Target market capitalization

Source: ASTRA (8th December 2017)

History of Equity Market Opportunity

➢ Over two decades of conservative management, asset hoarding and paying down debt

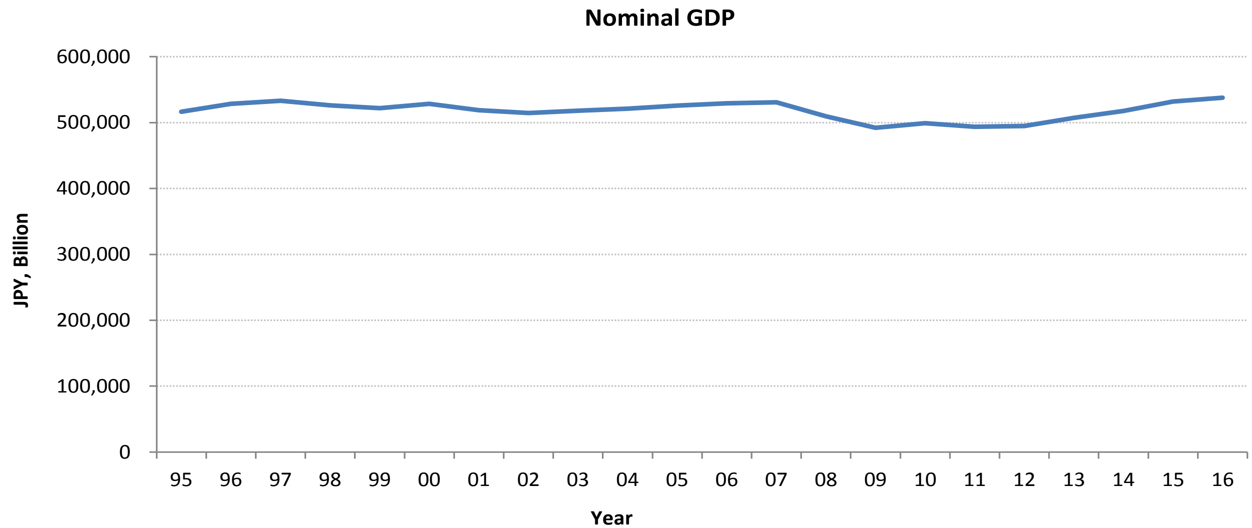
➢ Japan's GDP has remained relatively flat from 1995 to 2013.

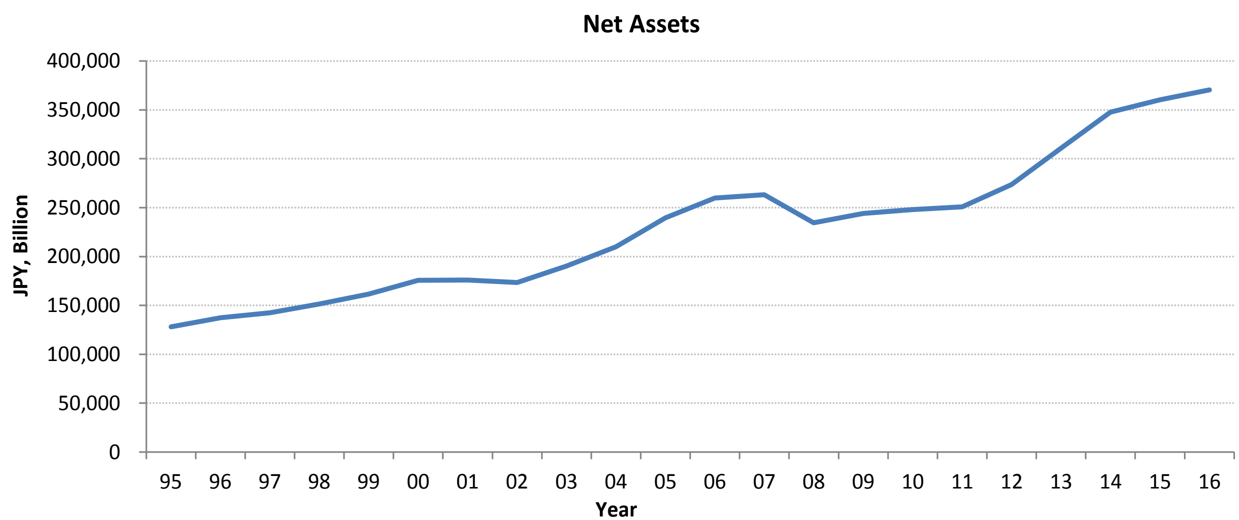
➢ But during the same period, total assets held by Japan Listed Companies (TSE 1) have increased by approximately 38%, while net assets increased more than 130%.

➢ During the same period, Japanese listed companies reduced interest-bearing debt, while increasing holdings of cash and cash equivalents.

Common problems with Japanese listed companies:

- Excess cash and security holdings
- Holdings of non-core assets and unnecessary cross-shareholdings
- Legacy Parent-Subsidiary listings
- Low or inappropriate goal setting
- Lack of oversight or disclosure
- Lack of understanding of corporate governance issues





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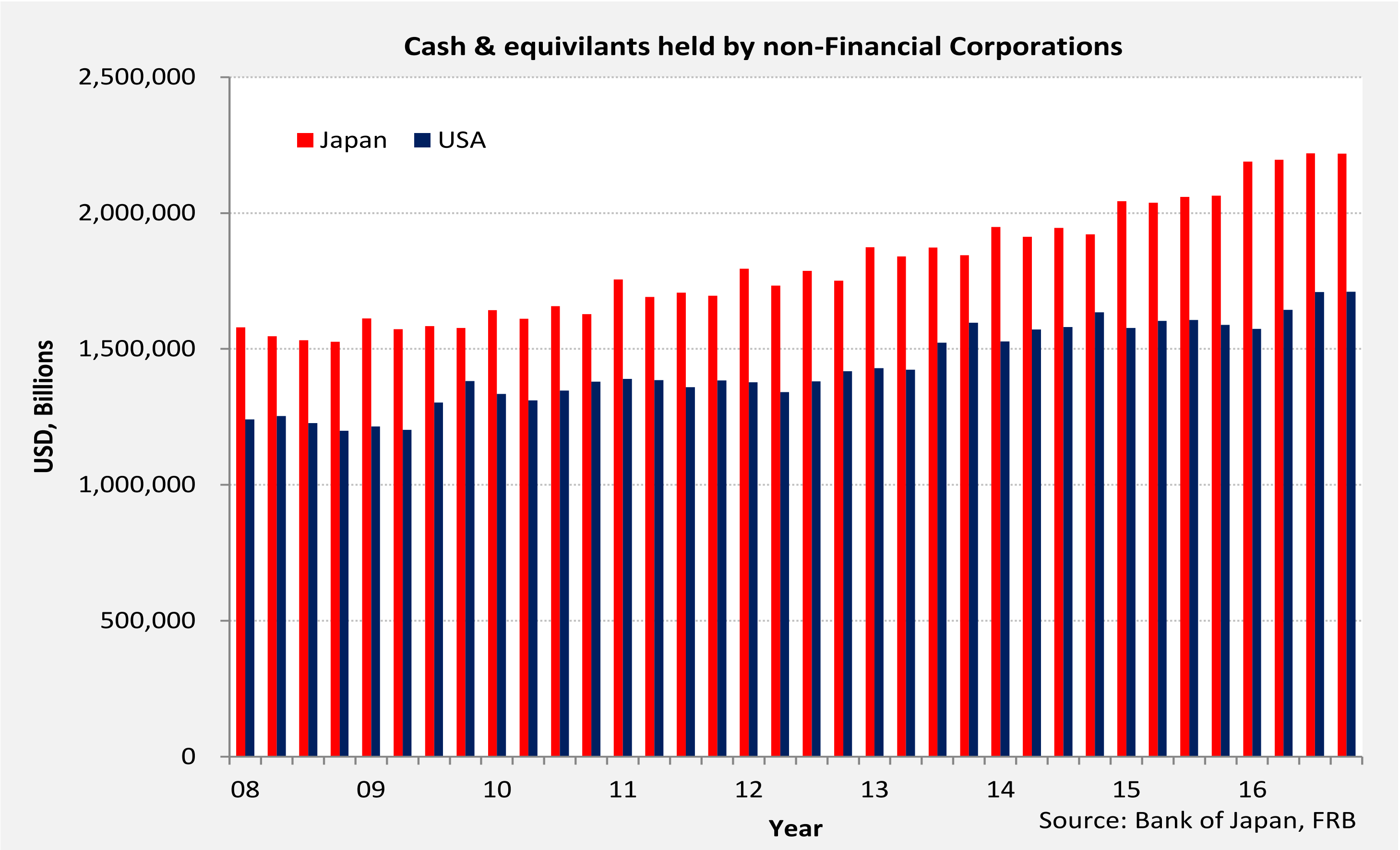
Source: ASTRA (4th December 2017)

Cash Holdings

- More cash held by non-financial corporations in Japan than the US



Note.

JPN (Red): Total cash and deposits of the Japan non-financial corporations.
USA (Blue): Total time and saving deposits, checks and currency, money market mutual shares of US non-financial corporations.
USD 1 = JPY 110

Strong Shareholders Rights in Japan

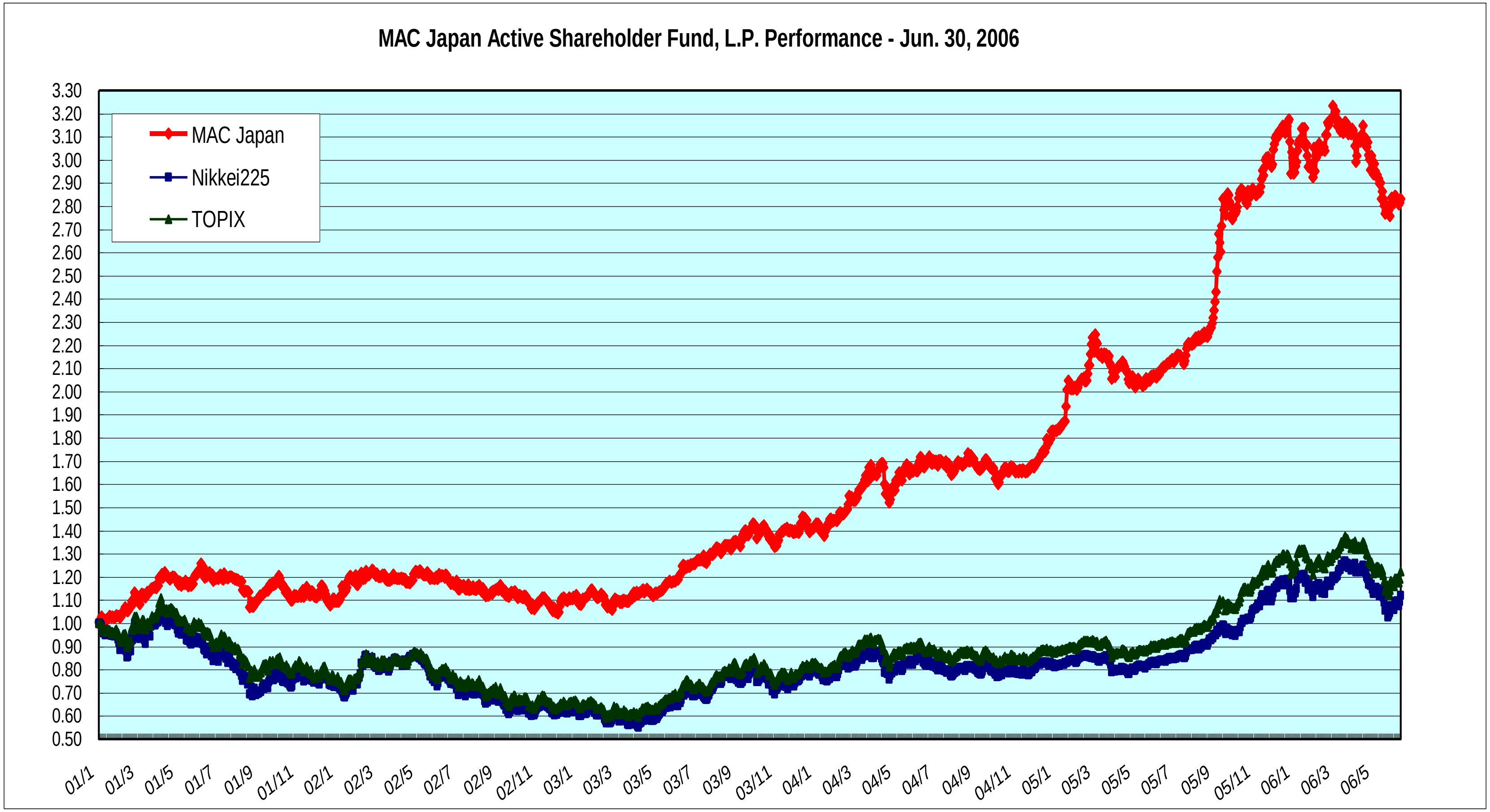
- But rarely if ever used by typically silent Japanese institutional investors

Share Ownership Threshold	***Shareholder's Rights***
One (Interest) Share	Right to make copy of shareholders register
	Right to revise the management's proposal at shareholders meeting
	Right to make copy of minutes of a board of directors
One (Interest) Share with position held for at least six months	Right to file shareholder's derivative lawsuit
1% or 300 Interests with either position held for at least 6 months	Right to propose resolutions
3%	Right to examine company books
3% with position held for at least 6 months	Right to call shareholders meeting
5%*	Requirement to publicly declare holdings*
More than One Sixth of the total Shares	Right to oppose simple merger
More than One Third of the total Shares	Right to veto major decisions
A Majority of the total Shares	Right to elect board directors
A Majority of the total Shares	Right to decide the amount of dividends
Two Thirds of the total Shares	Right to amend articles of incorporation
Two Thirds of the total Shares	Right to make strategic decisions (merge)
Two Thirds of the total Shares	Right to dismiss board directors

Note: A "Unit" is the minimum trading unit in the market and the minimum requirement to attain voting rights.

MAC Asset Management: Japan's first activist fund

- While at MAC Asset Management Mr. Maruki and Mr. Kato completed over 50 Activist transactions from 2001 – 2006 while managing over USD 4 billion at peak for predominantly non-Japanese institutional investors.
- The flagship fund achieved a 31.55% annualized return with a 14.65% annualized volatility during a period when the market was largely flat.
- Strategic Capital, Inc. employs a broadly similar activist strategy with the benefit of experience.



Firm direction & Growth Plan

No change to:

- Investment research process:
  - Portfolio company fundamentals the same regardless of market cap.
  - e.g. cash flow, value buy, assets, stable business + significant room to improve management and financial structure

- Portfolio creation and management:
  - Still concentrated and diversified by difficulty and expected duration of campaigns

- Proposals & Action:
  - Only invest when comfortable can create value and execute an activist campaign effectively.
  - Approach to company management interaction and influence the same for all market capitalizations.

- Outcome:
  - Management's implementation of our proposals the same for all market capitalizations

Planned developments:

- ➢ Increase of number of portfolio companies from 8-9 to 10 - 12
  - To further reduce risk of difficult portfolio company management, but still keenly focused

- ➢ Invest in companies with a market cap. from JPY 40 - 100 billion
  - Seeing abundant opportunity due to low valuations and poor governance
  - Greater market recognition of change

- ➢ Increase the percentage of market cap. held from 3 - 7% to 5 - 15% for greater influence.

- ➢ Build team and infrastructure with the input and oversight of our investors

Contact Information

Dan Kato
(Senior Managing Director)
kato@stracap.jp

Henry Wake
(Principal, Investor Relations)
henry@stracap.jp

Strategic Capital, Inc.
Five Annex Building 5F
1-3-10, Ebisu-nishi, Shibuya-ku
Tokyo, Japan
Tel (Main): +81-(0)3-5459-0380 / info@stracap.jp
150-0021東京都渋谷区恵比寿西1-3-10ファイブアネックスビル

http://www.stracap.jp/english/

(English language home page)

Appendix A (Exited Positions)

Please note:
Company market capitalization is standardized to represent the market cap. at the end of the month of entry.

Exit multiple and IRR data includes the contribution from dividends and margin exposure.

Summary of full exits held to date
(from December 2012 to December 2017)

9 full exits since inception								
Outcome:	Exit route:	Exit Year:	Company (ticker)	Duration of campaign (years) & IRR				
				0 - 1	1 - 2	2 - 3	3 - 4	4 - 5
Able to influence:	Sold on Market:	2015	**W-Scope (6619)**		+52.59%			
		2015	**Ines Corp. (9742)**			+26.47%		
		2016	**Takara Printing (7921)**		+60.64%			
		2017	**Teikoku Electric (6333)**		+37.28%			
		2017	**Nittoc Construction (1929)**		+41.83%			
	Tender Offer:	2014	**Zero Ltd. (9028)**		+155.9%			
		2016	**Japan Digital Laboratory (6935)**					+32.56%
Not able to influence / less successful:	Sold on Market:	2016	**MAC House (7603)**				+5.1%	
		2017	**Daiwa Industries (6459)**					+22.02%
	Tender Offer:							

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Amicable & confrontational

Full Exit

Ines Corp. (9742)

Market cap. (JPY) – entry	Entry	Buy - Avg. (JPY)	Peak % ownership of Ines	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
29.3 bn	Winter / Spring 2013	630	5.1%	Spring 2015	975	1.61x	26.47%	12.88%

Company:

- IT systems for financial institutions, corporations and local government
- Hitachi Solutions was 22% shareholder at time of entry
- PBR 0.5x, net sales and net profit stable for several years

Investment scenarios:

1. Hitachi will become a 100% shareholder, alternatively sell its stake in Ines to a strategic buyer
2. Improvement of corporate governance and convey that the low ROE and PBR is due to excessive real estate and cash holdings

Action & proposals:

- Shortly after investment Ines bought out Hitachi Solutions stake, so our first scenario expired, however ex-Hitachi Solutions people still held senior executive seats
- Regularly met with the CFO in Tokyo
- Adapted our proposals to request a new Independent Directors unrelated to Hitachi Solutions
- April 2014: Formal shareholder proposal to increase dividend to 32 JPY per share
- Propose the sale of real estate, use of proceeds of real estate sale for share buybacks
- The cancelation of treasury stock and the run off of defensive measures

Outcomes:

- ➢ April 2014: Dividend increased from 16 yen to 21 yen per year in response to our formal proposal
- ➢ March and April 2015: Ines announced the sale of the old Tokyo head office building, began large scale share buy backs (JPY 10 bn over 2 years), expired anti-takeover defense rule and announced that the Legacy Hitachi Solutions Directors will all be retiring by end of June 2015

Amicable & confrontational

Full Exit

Ines Corp. (9742)

Entry

Exit

Proposals:
- *Retirement of ex-Hitachi Directors*
- *Sale of real estate*
- *Cancel treasury stock*
- *Abolish anti-take over measures*
- *Share-buy backs to increase RoE*
- *Increase dividend*

April 2014:
Ines increased dividend from 16 to 21

SC formal proposal:
- *Increase dividend from 16 to 32 yen*

March 2015:
Ines announced:
Sale of real estate
Ex-Hitachi directors to retire

April 2015:
Ines announced:
Large share buy backs
Abolishment of anti-take over rules

March 2013:
Hitachi Solutions bought back its stake

Dec. 2012:
Started to invest

Dec. 2014:
Ines cancelled treasury stock

Source: Reuters

Confrontational

Zero Co., Ltd (9028)

Full Exit

Market cap. (JPY) – entry	Entry	Buy –Avg. (JPY)	Peak % ownership	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
6.5 bn	All of 2013	452	5.4%	Spring 2014	830	1.85x	155.90%	9.14%

Company:

- Automobile logistics and transportation
- A former subsidiary of Nissan Motors which became independent in 2001 via a CEO led MBO. IPO in 2005
- PBR <0.5 when we began to invest. Stable cash flow; for several years net sales and net profit gradually increased, PER was less than 10x
- The two largest shareholders are related automobile logistics and warehousing companies in Tokyo & Singapore

Investment scenarios:

1. Stimulate the largest shareholders to increase their stake by becoming a 5% or larger shareholder
2. Improve the weak corporate governance that has allowed CEO to remain unaccountable since IPO

Action & proposals:

- Regularly met with the CEO in Tokyo at his office or ours
- We pointed out that CEO has been in position for 15 years and has not increased shareholder's value since the IPO, hence we will push for a new CEO

Outcome:

- ➢ The CEO was fearful of redundancy and arranged for the largest shareholder 'buy us out' of our position
- ➢ April 2014: The CEO visited our office and told us that the largest shareholder would make tender offer to become 50% shareholder at the price of JPY 830 from May to June 2014
- ➢ Sold all of our shares at the tender price of JPY 830 which exceeded our target sell price

Confrontational

Zero Co., Ltd (9028)

Full Exit

Entry

Exit

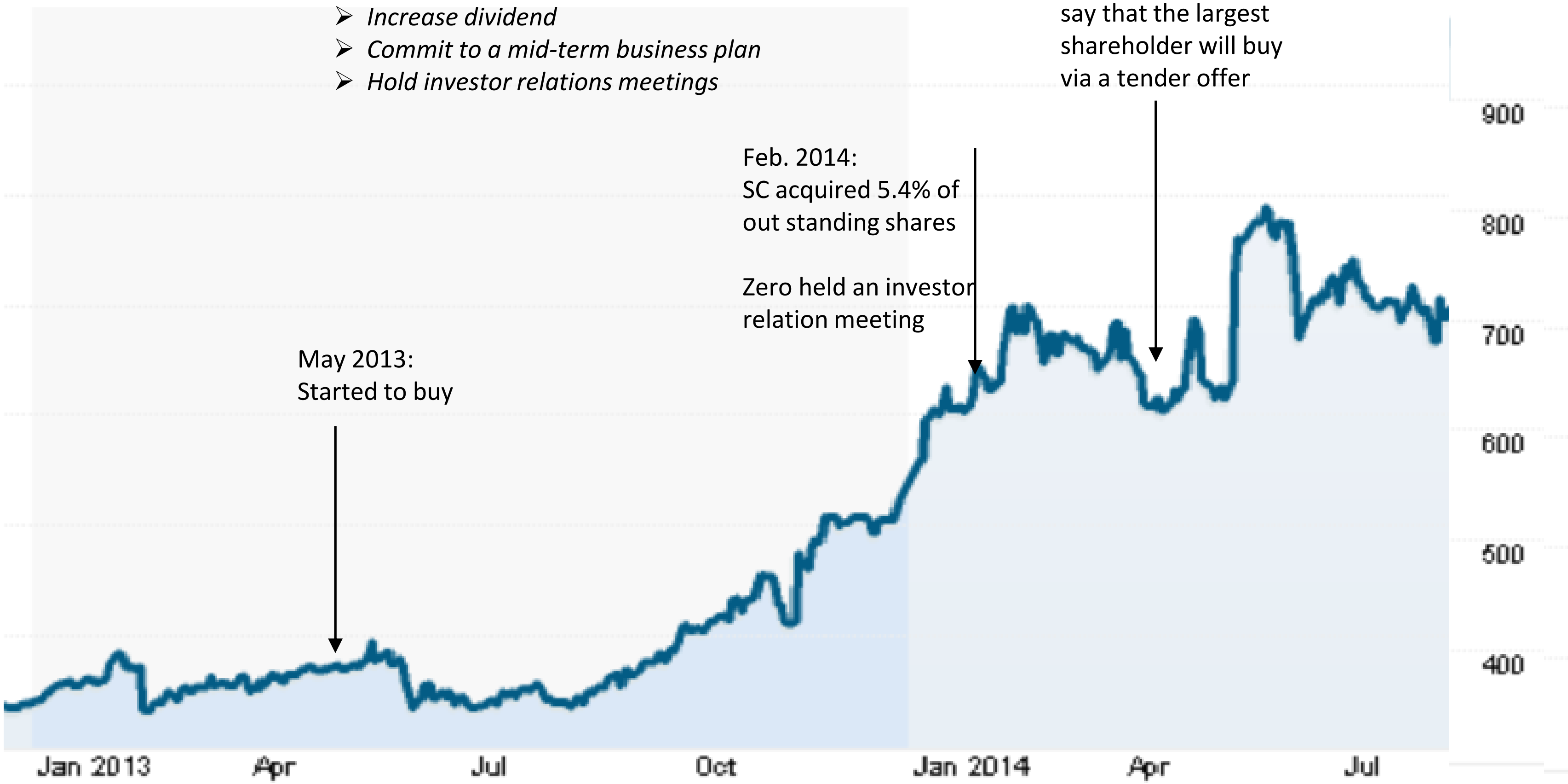
Proposals:
- *Pointed out the CEO has not increased shareholder's value since IPO and that should find the next CEO*
- *Increase dividend*
- *Commit to a mid-term business plan*
- *Hold investor relations meetings*

April 2014:
CEO visited SC office to say that the largest shareholder will buy via a tender offer

Feb. 2014:
SC acquired 5.4% of out standing shares

Zero held an investor relation meeting

May 2013:
Started to buy



Source: Reuters

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Confrontational

W-Scope (6619)

Full Exit

Market cap. (JPY) – entry	Entry	Buy – Avg. (JPY)	Peak % ownership	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
7.5 bn	Winter 2013	520	4%	2015	980	1.73x	52.59%	5.44%

Company:

- Manufacturer and sale of separators for lithium-ion batteries
- IPO in December 2011 at JPY 2500 per share, share price dropped to less than JPY 400 in 2013 due to CEOs strategy to focus only on electric vehicle batteries at the neglect of other markets and customers
- The proceeds from the IPO were held in cash and not used for cap-ex as stated in the initial offering
- The CEO also refused a strategic alliance with the largest competitor in Summer 2013 which had further negative impact on the results

Investment scenarios:

1. Gain support from other shareholders (who were disappointed with the dramatic fall in share price) to change the CEO at the AGM

Action & proposals:

- Attempted to gain support from 33% of shareholders to change the CEO
- January & February 2014: Interviewed 10 candidate for a new CEO
- Met CEO and CFO in Tokyo periodically
- However, several Korean shareholders declined to support our proposals shortly before the AGM as they did not want to appear confrontational towards a Japanese company
- March 2014: Met CEO for more than 2 hours the day before and the morning of the AGM

Outcome:

- ➢ The CEO feared redundancy, he became more pro-active to approach large new customers in order to grow sales
- ➢ March 2014: Announced capital expenditure to respond to new customers orders on the day of the AGM
- ➢ Business performance improved leading to an increase in share price, exit on the market.

Confrontational

W-Scope (6619)

Full Exit

Entry

Dec. 2013:
Acquired 4% of outstanding shares

Exit

Begin exiting when share price reaches JPY 970

Action:
- *Met new CEO candidates*
- *Seek support from other shareholders to replace CEO*

Oct. 2013:
SC met the CEO to ask for the reason for refusing the tie up. The CEO was unreasonable

Aug. 2013:
CEO refused tie-up with competitor

March 2014:
SC meeting before AGM

The CEO was aware of SC's activity and feared future activity, became more proactive to develop business with large new customers

Source: Reuters

Amicable

Takara Printing (7921)

Full Exit

Market cap. (JPY) - entry	Entry	Buy – Avg. (JPY)	Peak % ownership	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
10.1 bn	Nov. 2014	1005	6.1%	April 2016	1309	1.54x	60.64%	8.82%

Company:

- Takara is a printing and publishing company which produces financial disclosure documents that are legally required by all public companies in Japan. The firm also provides investor relations consultancy for clients.
- When we started to invest PBR was 0.74, PER was 15x, cash and cash equivalents held were approx. 80% of its market capitalization

Investment scenarios:

1. Due to the nature of Takara's business, we proposed Takara become 'a shining example' for public companies in terms of its corporate governance and transparency and felt it would be difficult for management to refuse such a logical suggestion

Action & proposals:

- April 2015 - the first meeting was with the CEO after 3% of the outstanding market cap. was accumulated, the CEO remembered Tsuyoshi Maruki from Nomura Securities days
- Visited the company three times and met with three different Directors to express our opinions over three months (Q2 2015)
- Suggestions included; the disclosure of a mid-term business plan, the reduction of net asset by raising the dividend payout ratio to 100% and utilizing the capital for share buy backs
- Unwinding of cross shareholdings

Outcome:

- ➢ On the 1st July 2015, Takara announced plans to increase its semi-annual dividend from JPY 10 to 25 (to 50 yen per share per year), which will be 89% of dividend payout ratio and disclosed a mid-term business plan
- ➢ As we felt it would take some time for Takara to start a share-buy back program as proposed, we began gradually exiting in September 2015 and finally exited in April 2016

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Amicable

Takara Printing (7921)

Full Exit

Entry

Exiting

Nov. 2014:
Start quietly accumulating position

April 2015:
3% acquired. First meeting with the CEO. Proposals:
- *Disclosure of a mid-term business plan*
- *Reduce net asset by raising the dividend payout ratio to 100% or more*
- *Become more active to develop new business*
- *Sell cross shareholding*

July 2015:
Takara announced plans to increase dividend from 20 to 50 JPY per year
Discloses a mid-term business plan

July 2015:
Meetings with all Independent Directors

Source: Reuters

Amicable

Full Exit

MAC House (7603)

Market cap. (JPY)	Entry	Buy – Avg. (JPY)	Peak % ownership	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
10.4 bn	Winter 2013	920	7.4%	Sept. 2016	864	1.08x	5.1%	16.48%

Company:

- Chain retailer of casual clothing, jeans and apparel
- 60% subsidiary of Chiyoda (TSE: 8185), a larger shoe retailer with a market cap. of JPY 109 bn
- Cash rich; when the fund started to invest Mac House held cash equal to its market capitalization

Investment scenarios:

1. Chiyoda to make Mac House a 100% subsidiary, or Chiyoda to sell its stake to strategic buyer
2. Strategies to improve business performance

Action & proposals:

- In 2013 and 2014: Regularly meet with the Presidents of both Mac House and Chiyoda in Tokyo to propose strategies to increase trading liquidity, dividend increases and the introduction of truly Independent Directors
- April 2015: Meeting with the CEO of Mac House to suggest consultation and disclosure of a suitable mid-term business plan
- May 2015: Met CEO of Chiyoda to discuss strategies to increase shareholder value of Mac House (new CEO, JV, sale of stake)

Outcome:

- ➢ 2013: Mac House increased dividend from JPY 10 to 40 per share as a result of our proposals
- ➢ However, cash holdings declined and inventory grew substantially, resulting in diminished upside potential
- ➢ The fund gradually exited over 2016 while the share price was held up by the high dividend
- ➢ Exit completed in September 2016

Amicable

Full Exit

MAC House (7603)

Entry

2013 - 2015:
Proposals:
- *Increase dividend*
- *Improve trading liquidity*
- *Appoint Independent directors*
- *Take over or divestment by Parent (40% share holder)*

Feb. 2013:
Mac House increased dividend from JPY 10 to 40 as a result of proposals

April 2014:
Mac house pressed to announce mid-term business plan

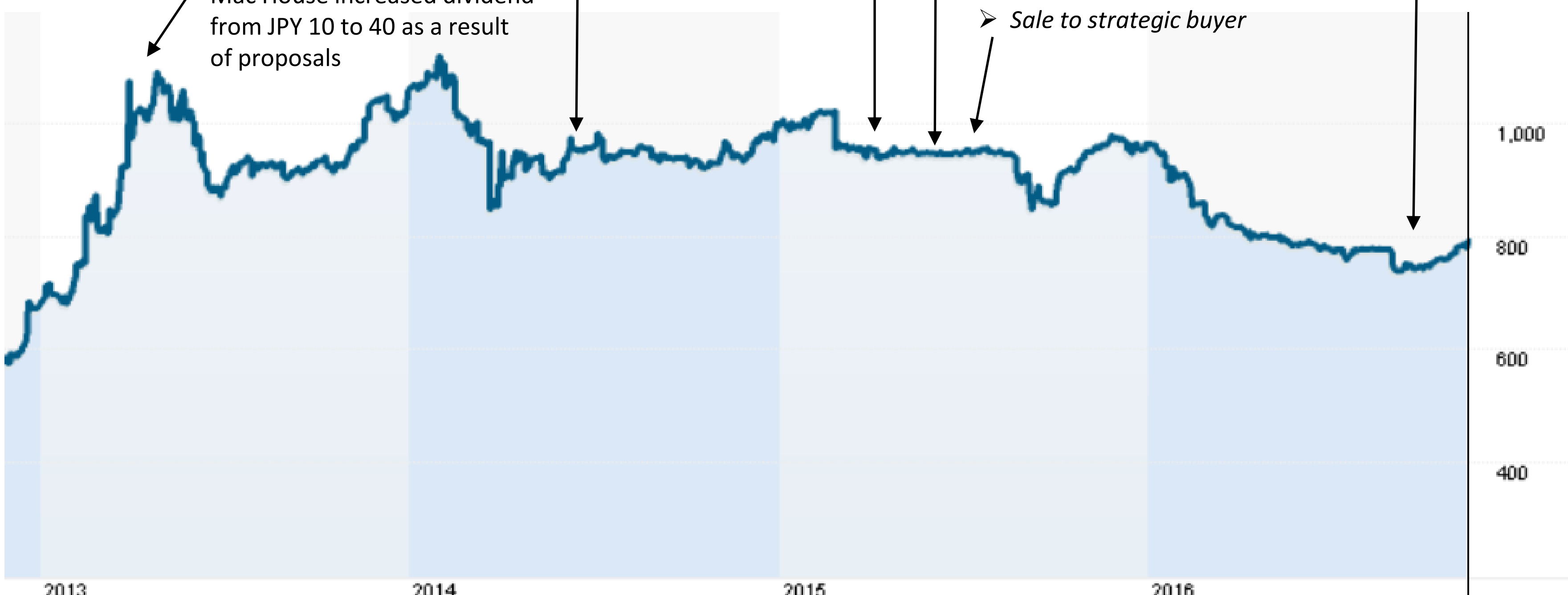
April 2015:
Met CEO to discuss why he changed the business strategy with out explenation

Feb. 2015:
Partial exit

May 2015:
Met CEO of Parent company to push for:
- *New CEO*
- *Sale to strategic buyer*

Exiting

September 2016:
Exit complete



Source: Reuters

Confrontational campaign

Japan Digital Laboratory (6935)

Full Exit

Market cap. (JPY) – entry	Entry	Buy (JPY)	Peak % ownership	Exit	Sell (JPY)	Return	IRR	Peak % of Fund NAV
32.9 bn	Winter 2013	1170	3.7%	December 2016	2405	2.05x	32.56%	30.59%

Company:

- IT hardware and storage for tax accountants, accounting firms and small corporates
- Cash rich: Cash and marketable securities held are more than 80% of market cap. Relatively stable cash flows for several years, expected to be a beneficiary of the introduction of national insurance numbers in Japan in 2015
- The tax accounting company also held a domestic airline as one subsidiary
- The founder is also the president and holds approximately 41% of outstanding shares

Investment scenarios:

1. Act as a catalyst reform by revealing various questionable payments to family members for a listed company and use these issues as a bargaining tool to press for change
2. Take action favorable to share holders such as; share buy backs, MBO/delisting, sale of domestic airline, increase of dividend and enhanced transparency and investor relations

Action & proposals:

- Only able to meet the President at the AGM, meet the Director of Investor Relations only three times early in the campaign
- April 2014 & 2015: Formal share holder proposal at AGM to increase to a 100% dividend payout ratio
- Early 2013: Exercised the right to examine JDL's accounting book, but they refused, sued in July 2013 and in July 2014 the Tokyo District Court judged that JDL has to show us the books
- April 2015: Exercised the right to examine the Board of Directors meeting minutes to examine if The Directors approved such payments to the Presidents family
- February 2016: Shareholders lawsuit regarding the unlawful payment to two family members of the CEO
- June 2016: Formal Shareholder Proposal gained 24% of total shareholder vote and 53.5% excluding the president and close current and ex-Directors

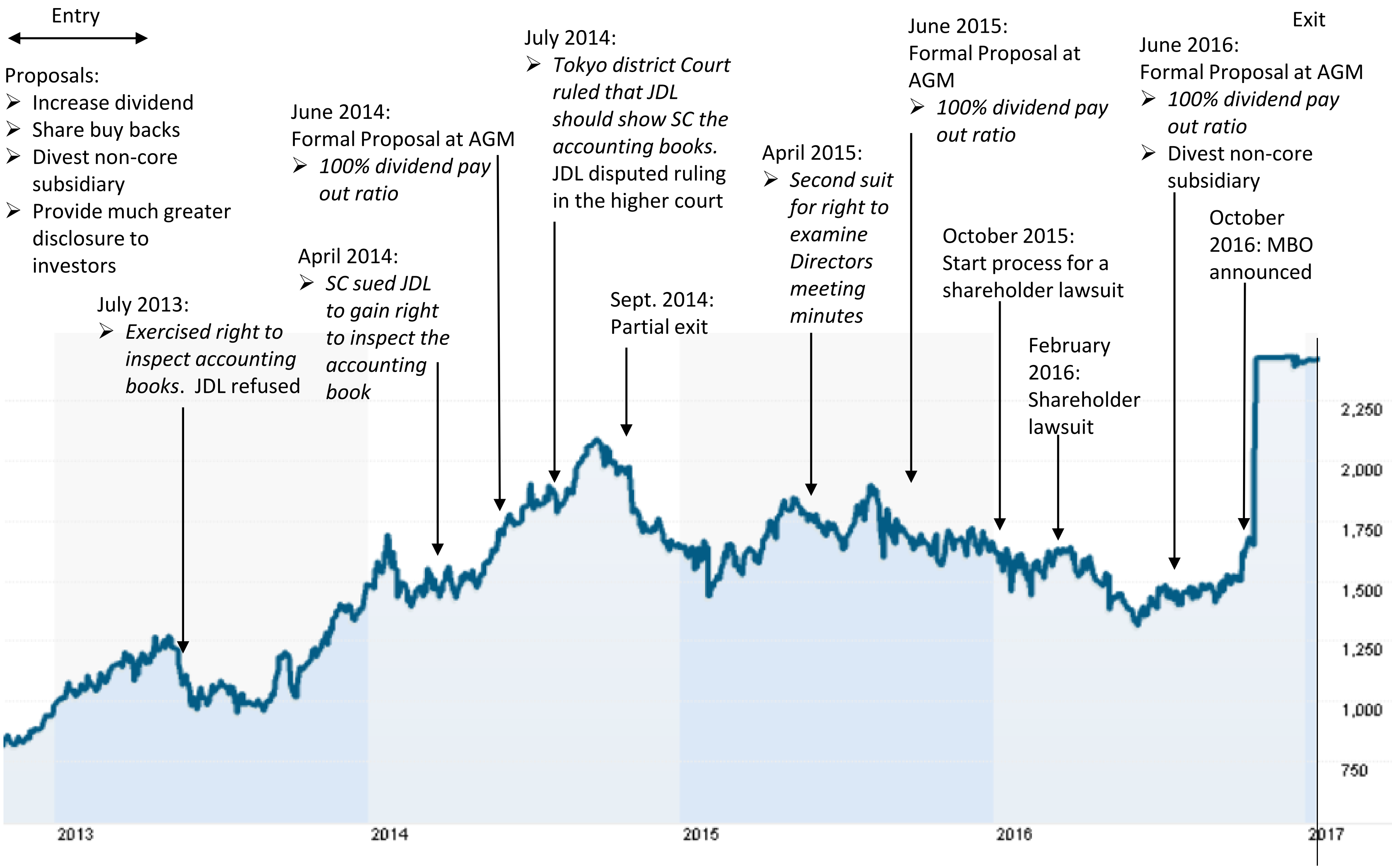
Outcome:

- ➢ Increased dividend several times: April 2013 JPY 20 to 30, March 2014 JPY 30 to 50
- ➢ MBO announced on the 31st October 2016 at a 48% premium to market price, final settlement on the 28th December 2016

Confrontational campaign

Japan Digital Laboratory (6935)

Full Exit



Source: Reuters

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More confrontational

Full Exit

Daiwa Industries (6459)

Market cap. (JPY) – entry[1]	Entry	Buy – Avg. (JPY)	Peak % ownership	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
25 bn	Dec. 2012	497	4.4%	Jan. 2017	940	1.95x	22.02%	25.6%

Company:

- Manufacturer of refrigerators, ice-machines and cooled display cabinets for commercial use, one of the leaders in the Japan market
- Cash rich, the company holds cash (only) equal to 100% of its market cap. Stable cash flow, for several years net sales and net profit have gradually increased. PER is approx. 12 x. No interest bearing debt. Defensive business.
- The founding family and the President and Chairman hold approx. 43%. of outstanding shares
- Due to poor governance this otherwise stable and attractive business is particularly cheap

Investment scenarios:

1. Create shareholder value via improvements to investor relations, the increase of dividend and use of high cash holdings for share-buy backs

Action & proposals:

- Meet the President and Chairman at the AGM, but he did liked our questioning
- Regularly meet with an Executive Officer in Osaka.
- Proposed the company improve investor relations, appoint independent directors, share buy backs and consider using cash for strategic M&A to acquire add-on related businesses.
- March 2014: Gained support from 57% of shareholders excluding the founding family to increase the dividend to a 100% pay out ratio.
- March 2016: With an increased voter turn out, gained support from 57% of shareholders excluding the founding family to increase the dividend to a 100% pay out ratio. This was 31% of the total vote in support of our proposal.

Outcome:

- ➢ This is not any easy to influence company but with significant up-side potential if the cash is used to even a lesser degree
- ➢ Daiwa changed the units of its shares (split shares) from 1000 to 100 in December 2014
- ➢ The business is performed well in 2015 and 2016 so we continued to persist
- ➢ Due to the performance of the business the stock hit our low target sell price and was exited on the market

More confrontational

Full Exit

Daiwa Industries (6459)

Entry

Exit

2013 - 2015:
Proposals:

- *Improve investor relations*
- *Appoint truly independent directors*
- *Share buy backs*

March 2014:
Formal proposal:

- *100% dividend payout ratio*

Gained support from majority of shareholders

December 2014
Daiwa changes the minimum unit for shares traded from JPY 1000 to 100 to improve market liquidity

November 2016:

- *Partial exit*

January 2016:
Formal proposal:

- *100% dividend payout ratio*

Source: Reuters

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Amicable & confrontational

Teikoku Electric (6333)

Full Exit

Market cap. (JPY) – entry	Entry	Buy - Avg. (JPY)	Peak % ownership of Teikoku	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
19.6 bn	Dec. 2015	805	5.03%	Nov. 2017	1223	1.36x	37.28%	12.2%

Company:
- Established in 1939, Teikoku is the leading manufacturer of no-leak canned pumps with a 60% domestic market share and a 40% global market share. Teikoku is the only position in the portfolio which has a reasonable correlation to yen strength.
- The pumps are mainly used in chemical, liquefied petroleum gas, air conditioning systems and power generation related devices. Foreign shareholders make up 23.6% of ownership, the single largest shareholder is Mitsubishi Electric Corporation with 11.2%.
- In June 2014, Teikoku held JPY 7 billion of cash, but raised a further JPY 2 billion via a public offering at JPY 1,393 per share for cap. ex.
- At the time of fund entry, the share price was around JPY 800 and the company held JPY 11 billion cash and equivalents, almost equal to 70% of market capitalization.
- Sale and profits stable, book value per share is JPY 1,150 as FY 2016.

Investment scenarios:
- Share buy backs to a least reverse the 2014 dilution
- Sale of non-core electronics subsidiary which has low profitability
- Unwind various cross shareholdings
- Appoint a new Independent Director who is truly independent (One of two is from Mitsubishi Electric Corporation)
- Improve investor relations and transparency – e.g. produce forward looking disclosure

Action & proposals:
- Continuous attendance of investor relations meetings
- One-on-one meetings with the President started from Autumn 2016
- Quarterly SC offices visits by a General Manager to explain the business results and twice yearly meeting with the Managing Director
- TM in dialogue with an influential eighth largest shareholder
- April 2017: Formal Shareholder Proposal for an increase of dividend from JPY 15 to 61 per share (100% pay out ratio). Gained support from approximately 27% of shareholders for the proposal.

Outcomes:
- ➢ May 2017: Increase of dividend from JPY 14 to 15 and share buy backs of 3% of outstanding shares.

Amicable & confrontational

Teikoku Electric (6333)

Full Exit

Entry

Exit

SC Proposals:
- Share buy backs
  Sale of non-core businesses
- Unwind cross shareholdings
- Appoint a truly Independent Director
- Improve investor relations and disclosure

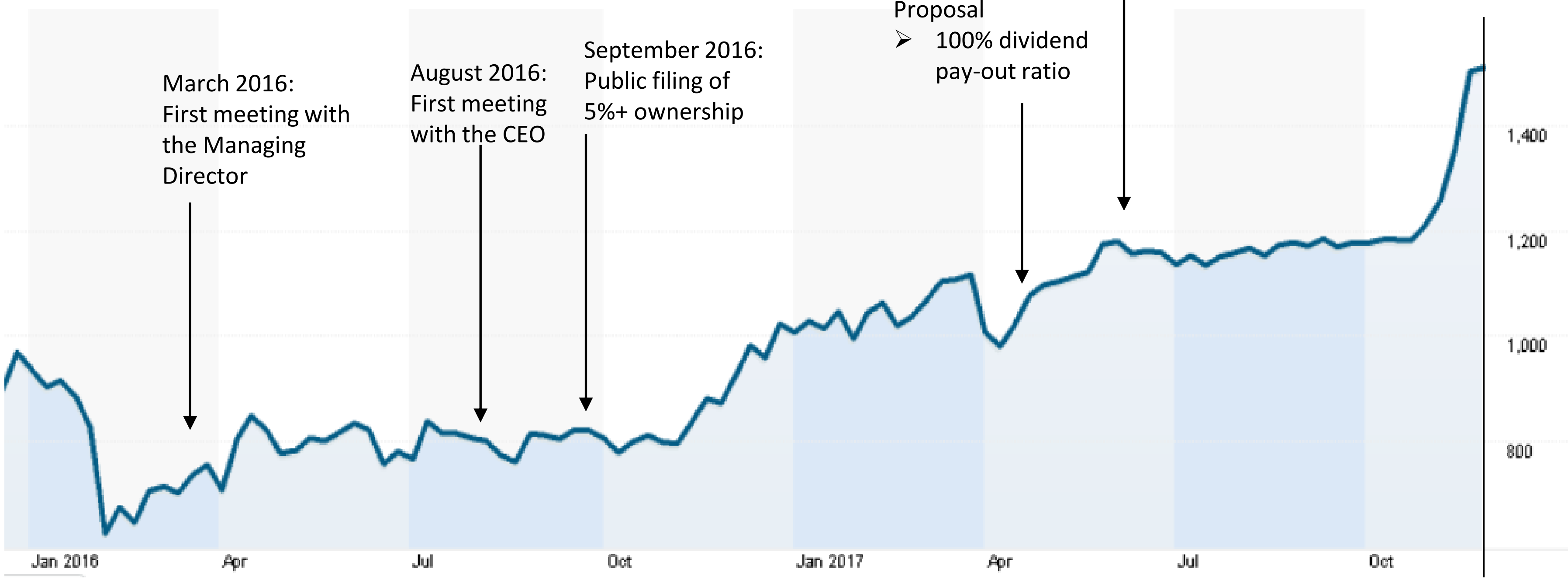
May 2017:
Teikoku increased dividend from JPY 15 to 16 per share and announced small scale share buy-backs

April 2017:
Formal Shareholder Proposal
- 100% dividend pay-out ratio

March 2016:
First meeting with the Managing Director

August 2016:
First meeting with the CEO

September 2016:
Public filing of 5%+ ownership



Source: Reuters

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Amicable

Nittoc Construction (1929)

Full Exit

Market cap. (JPY) – entry	Entry	Buy –Avg. (JPY)	Peak % ownership	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
19.6 bn	May 2016	469	5.01%	Nov. 2017	609	1.4x	41.83%	15.53%

Company:

- Founded in 1953 and listed in 1983, Nittoc is a construction company focused on disaster prevention, urban regeneration and environmental protection. The company is a specialist in grouting technology for slope face protection, dam foundations and ground improvement works. The largest shareholder (38.7%) is the Aso Corporation, a company related by family to Mr. Taro Aso (Japan's Minister of Finance). Mr. Aso is an outspoken supporter of corporate governance improvement and publicly urges companies to use cash.
- In the 1990s to early 2000s Nittoc experienced a severe period due to excessive borrowing and spending, and subsequently adopted a conservative strategy to shore up shareholders equity and accumulate cash.
- Nittoc has accomplished its targets (50% ratio of shareholders equity to market cap.) and paid off all interest bearing debt in March 2016.
- As of June 2016; TTM P/E was 8.57, forward P/E 9.77, PBR 0.89x. and the ratio net cash to market cap. was 0.89.

Investment scenarios:

- As the company is now stable and cash rich, SC proposes that it is now time for Nittoc to step out of such a conservative path and use accumulated cash for both the business and shareholders

1. Improve corporate governance issues
2. Restructuring related to the parent company and subsidiaries

Action & proposals:

- Establish an appropriate use of cash and ROE target
- Create and disclose a new mid-term business plan
- Appoint truly Independent Directors
- Sell cross-share holdings
- Increase dividend

Outcome:

➢ May 2017: (i) Announced buy-backs of 2.35% of total shares, (ii) increased dividend from JPY 10 to 17 per share, (iii) set up a committee to choose representative directors, (iv) committee to determine the nomination and remuneration of Directors, (v) Increased the number of Independent Directors (vi) Begun evaluating the effectiveness of the Board of Directors.

Amicable

Full Exit

Nittoc Construction (1929)

Entry

Exiting

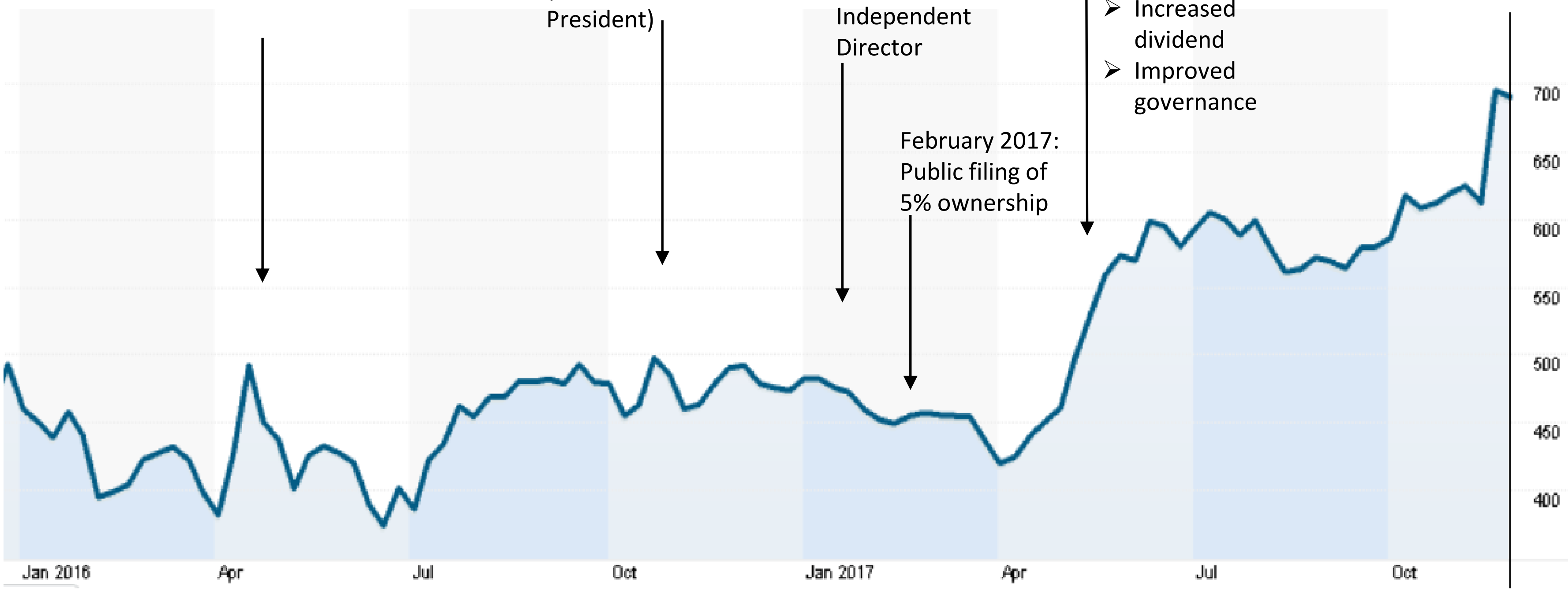
May 2016:
First attendance of investor relations meeting

November 2016:
First one-on-one meeting with the Executive Officer & Managing Director (who is now the Vice President)

January 2017:
First one-on-one with Independent Director

February 2017:
Public filing of 5% ownership

May 2017:
Nittoc:
- Begun share-buys backs (2.35%)
- Increased dividend
- Improved governance



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Appendix B (Current Disclosed Positions)

Current

Tosho Printing (7913)

Market cap. (JPY) – entry	Entry	Buy – Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell (JPY)	Return (est.)	Peak % of Fund NAV
29.1 bn	March 2015/ fall 2015	424	5.47%	Current	Confidential	Confidential	Confidential	Confidential

Company:

- Tosho Printing is a printing company which produces school text books, comic books and other commercial publications.
- 51% of Tosho Printing is owned by parent company Toppan Printing (7911), Toppan is one of the largest Global Japanese printing companies with 169 subsidiaries and affiliates. We consider Tosho essentially just a factory of Toppan.
- At entry, Tosho Printing had a JPY 33 billion market capitalization, held approximately JPY 11 billion of cash with JPY 0.8 billion of interest bearing debt. Entry PER 80 and PBR 0.5x. At entry, Tosho Printing held JPY 36 billion market value of Recruit Holdings shares on its balance sheet (as of June 2016 Tosho owns JPY 33.5 billion of Recruit Holdings securities relative to Tosho Printings JPY 47 billion market capitalization)
- Sales have slightly declined over the years due to the over all sector, however the company is still profitable with a repeat customer base. However, Tosho has not taken steps or altered its business in light of the changing market environment for the printing sector.
- Due to a legacy relationship from a time when employment/temp agencies were customers of printing companies, Tosho Printing owns 1.6% of Recruit Holdings (6098) and Toppan Printing owns 6.6% of Recruit Holdings.

Investment scenarios:

1. Tosho to sell shares in Recruit Holdings and then use the proceeds to restructure the present business, in particular to reduce costs and grow profitable business lines.
2. Tosho to unwind 27 cross shareholdings
3. If Tosho can not or does not use capital proceeds, to return capital to shareholders via an increase in dividend and or share-buy backs
4. Stimulate Toppan Printing to make Tosho a 100% subsidiary

Action & proposals:

- May 2015: First meeting when the Fund was a 3% shareholder
- Regular meetings and Senior management, Tosho management became warmer and developed an appreciation of the need for action
- November 2015: Japan Up Unit Trust publically files 5%+ ownership
- April 2016: Formal Shareholder Proposal to press for a unwinding of cross shareholdings. 9% of shareholders supported this proposal.
- April 2017: Formal Shareholder Proposal for a special JPY 125 per share dividend (which if implemented would reduce investment from JPY 30 to a more reasonable 15 billion). 14% of shareholders supported the proposal.

Outcome:

- ➢ September 2016, Tosho management converted 50% of their holding of Recruit securities to cash
- ➢ February 2017: Announced a plan to spend JPY 30 billon for investments and restructuring. Dividend increased from 2 to 4 yen per share.

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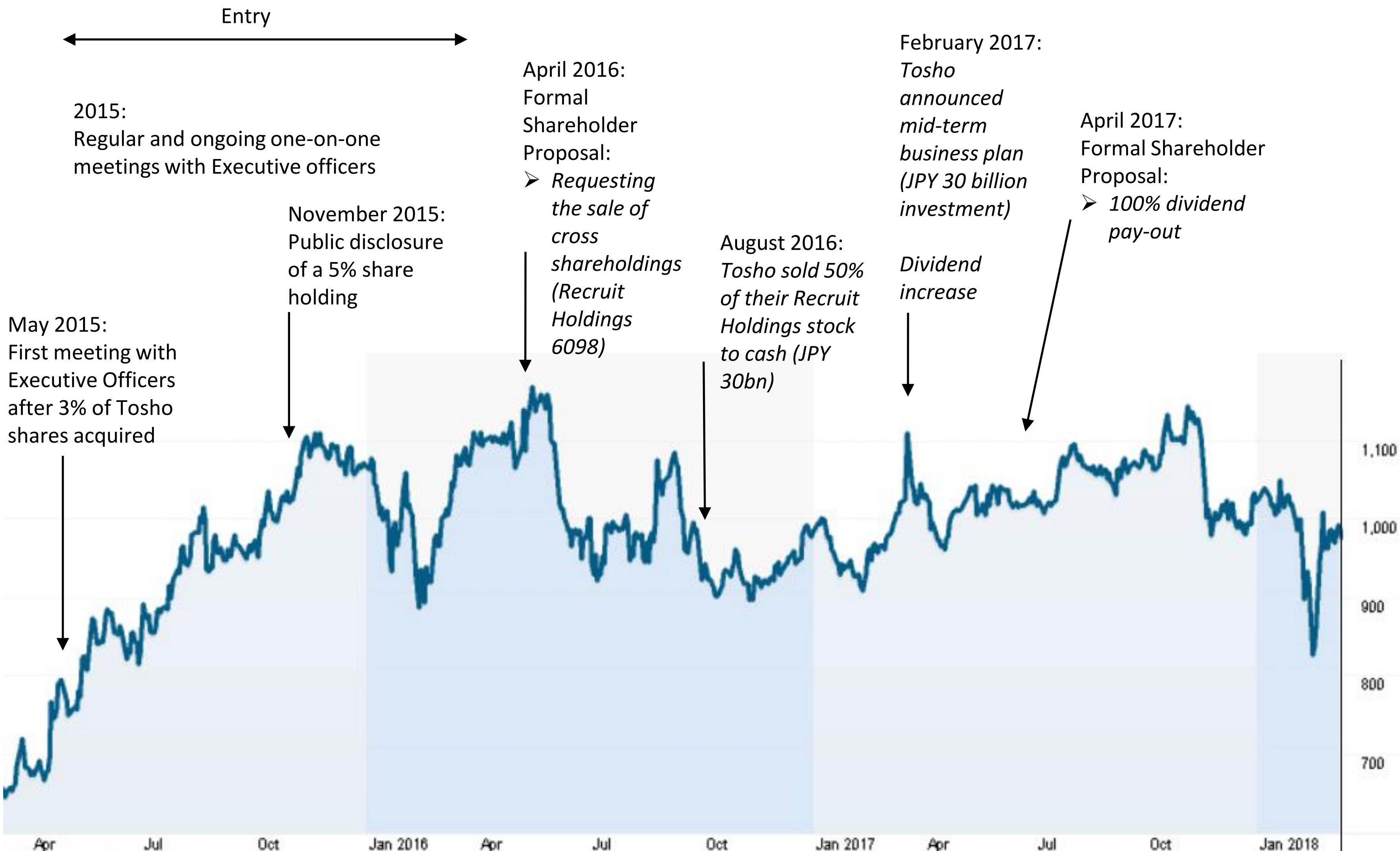
Tosho Printing (7913)



Source: Reuters

Current

Chori (8014)

Market cap. (JPY) - entry	Entry	Buy – Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell (JPY)	Return (est.)	Peak % of Fund NAV
36.2 bn	Fall 2014 / Winter 2015	Confidential	3.93%	Current	Confidential	Confidential	Confidential	Confidential

Company:

- Chori is a trading company which deals in textiles, chemical and machines.
- Chori is a subsidiary of Torey Industries (3402), the ex-Chairman of Toray is a Chairman of the 'Federal of Economic Organizations' in Japan (a powerful business lobby know as the 'Keidanren').
- When the fund started to invest PER was 7.3x, PBR 0.8x and cash and investment securities held were approximately 50% of market capitalization.

Investment scenarios:

1. We will push Chori to fully comply with Corporate Governance Code and improve financial efficiency. As the ex-Chairman of Torey is a high profile and vocal supporter of the Abe Cabinet, we expect it will be difficult for Chori to resist complying with the Corporate Governance Code.
2. Sell crossholding shares and using the net proceeds for capital expenditure, R&D and M&A.
3. If the management cannot spend all the surplus cash, refund it to shareholders by share buy backs
4. Increase the particularly low divided pay out ratio (currently 20%)

Action & proposals:

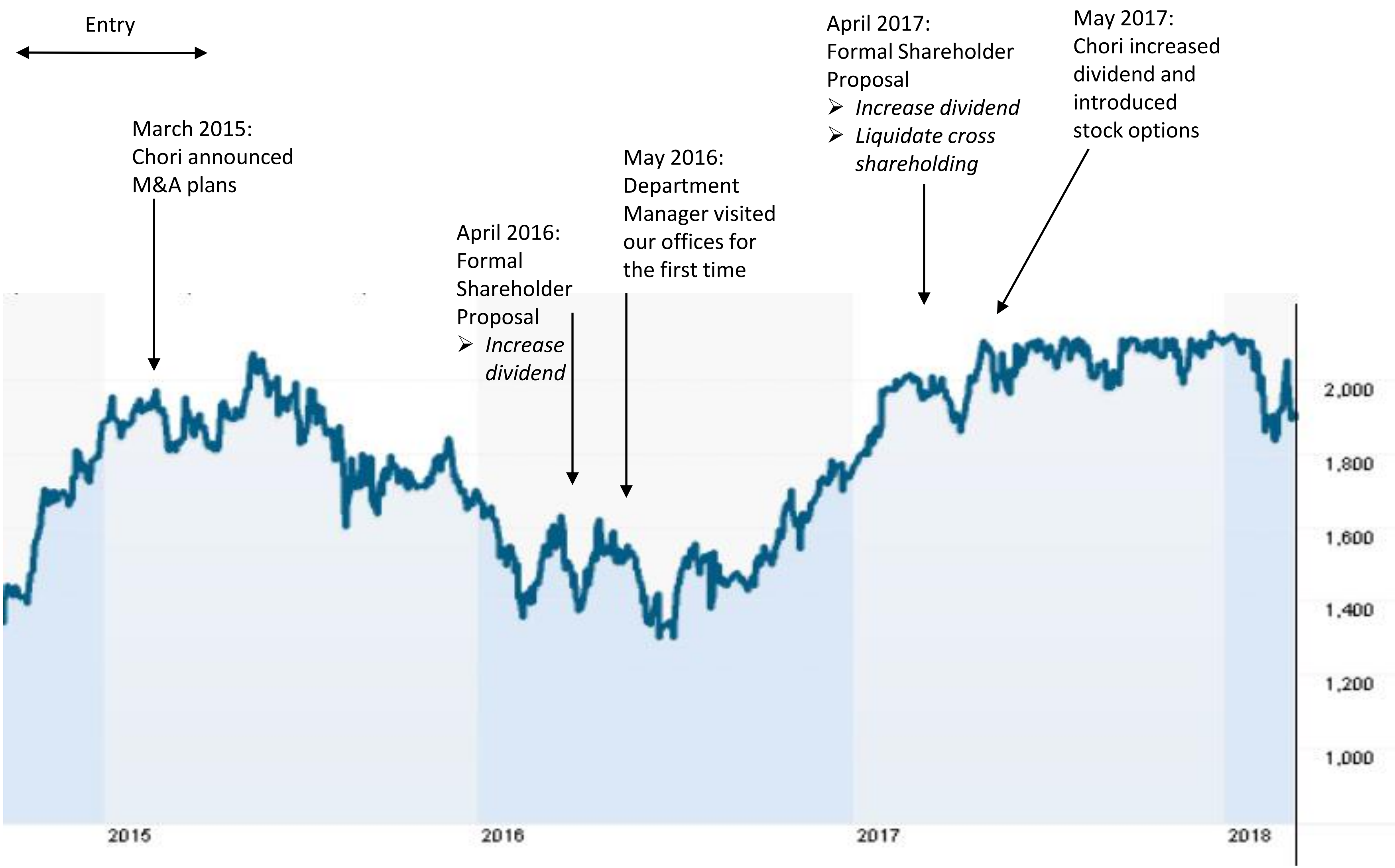
- In Spring 2015, Chori released news that it would use JPY 10 billion of cash to acquire a chemical company. We felt this is a good sign that the management are willing to use their cash as such we refrained from taking a more confrontational action at this stage
- Other governance related proposals include; management to determine and disclose ROE targets in a mid-term business plan. To improve investor relations and define the rules and processes for appointing Directors.
- April 2016: Formal Shareholder Proposal requesting an increase in dividend.
- April 2017: Formal Shareholder Proposal requesting; i) liquidation of cross-share holdings ii) 100% dividend pay out ratio (JPY 195 per share).

Outcome:

➢ May 2016: Planning Department Manager visited our office for the first time at our reques**t**
➢ May 2017: Chori introduced stock options and increased dividend from JPY 36 to 40 per share.

Current

Chori (8014)



Source: Reuters

Current

Shin Nippon Air Technologies (1952)

Market cap. (JPY) – entry	Entry	Buy – Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell (JPY)	Return (est.)	Peak % of Fund NAV
13.3 bn	Dec. 2014 – Jan. 2016	942	5.4%	Current	Confidential	Confidential	Confidential	Confidential

Company:
- Shin Nippon Air Technologies constructs air-conditioning systems in office buildings, semiconductor facilities, and nuclear power plants. The company also inspects, renovates, and maintains air-conditioning systems
- At the time of investment Shin Nippon Air traded at a PBR of 0.6x and a PER of 11x. The company also held slightly more cash than interest bearing debt
- Cross-shareholding account for 80% of the companies market capitalization.

Investment scenarios:
- To fully comply with the Corporate Governance Code, including disclosing voting practice for cross shareholdings and improving transparency
- To unwind cross shareholdings and use capital proceeds for share buybacks
- To increase the dividend pay-out ratio
- Abolishment of poison pills

Action & proposals:
- 2015/6: Meet and communicate with the CEO often and when we request (discuss topics such as their public corporate governance report, the unwinding of cross-shareholdings at other firms in Japan, rationale for share buy backs etc.)
- April 2016: Formal Shareholder Proposal for i) unwinding of cross-shareholdings ii) increase of the dividend to 85 per share (100% pay out ratio). Gained 12% support.
- April 2017: Formal Shareholder Proposal for i) unwinding of cross-shareholdings ii) increase the dividend to JPY 109 per share (100%) for calendar year 2017. Gained 11% support.

Outcome:
- ➢ June 2015: Executed share buybacks of JPY c. 0.8 billion (more or less in-line with publically disclosed plan)
- ➢ May 2016: Introduction of stock options and the run off of anti-take over measures
- ➢ May 2017: Increased dividend from JPY 20 (10 interim, 10 year end) to JPY 40 (10 interim 30 year end) for FY 2016.

Strategic Capital
株式会社 ストラテジックキャピタル

Current

Shin Nippon Air Technologies (1952)

Entry

June 2015:
- Shin Nippon Air Tech. executes share-buy backs (JPY 0.8 billion)

April 2016:
Formal Shareholder Proposal:
- *Unwinding of Cross-Shareholdings*
- *100% dividend payout ratio*

May 2016:
Company:
- Introduces management stock options
- Lets anti-take over measures expire / does not renew

April 2017:
Formal Share Holder Proposal:
- *Unwinding of Cross-Shareholdings*
- *100% dividend payout ratio*

Source: Reuters

Current

Uchida Yoko (8057)

Market cap. (JPY) – entry	Entry	Buy –Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
24.6 bn	From Nov. 2016	2245	5%+	Current	Confidential	Confidential	Confidential	Confidential	Confidential

Company:

- Founded in 1910, Uchida Yoko is a mid-sized office furniture distributor and manufacturer. Today, the company is a top ranked supplier of educational equipment, teaching materials and education content to local governments and in particular schools, the company is a beneficiary of a national government program to increase ICT in schools (e.g. increasing the use of tablets as an educational resource). Uchida also supplies office ICT systems, furniture and printing equipment and materials to small private sector companies. The ICT business line to schools and governments is profitable with steady growing net sales, the office furniture supply business is a little lack lustre in comparison.
- At fund entry, Uchida had JPY 23 billion cash, approximately equal to market cap., and JPY 5 billion of cross holding shares
- As of March 2016: PBR was 0.63, TTM P/E was 9.68
- The company has 30 Subsidiaries and Affiliates which have developed over the decades and have a book value of approximately JPY 5 billion.

Investment scenarios:

- Fully consolidate or full dispose of cross shareholdings
- Increase dividends or share-buy backs
- Discontinue or divest unprofitable business lines
- Add one new truly independent director, improve investor disclosure, run off of poison pills

Action & proposals:

- September 2016: First meeting with the CEO and Director
- Quarterly meeting with Executive Offices scheduled
- August 2017: Formal Shareholder Proposal to increase dividend and unwind cross shareholdings

Outcome:

- ➢ Uchida announced an increase of the dividend from JPY 70 to JPY 75 per share for the last settlement for the fiscal year ending the 20th July 2017, and a buyback of up to 400,000 shares which equates to 3.97% of outstanding market capitalization.

Uchida Yoko (8057)

Current

Entry

Proposals:
- Use cash held for the business or shareholders
- Consolidate or sell cross shareholdings
- Improve corporate governance

September 2016:
First meeting with the CEO

August 2017:
Submitted Formal Shareholder Proposal

September 2017:
- Dividend increase (JPY 70 – 75 per share)
- Share buy-backs (JPY 1 billion)

Source: Reuters

New

Asanuma Corporation (1852)

Market cap. (JPY) – entry	Entry	Buy –Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
36.6 bn	From October 2017	394	6.93%	Current	Confidential	Confidential	Confidential	Confidential	Confidential

Company:

- Asanuma Corporation is a medium-sized construction and civil engineering company with operations across Japan. The company was established by the Asanuma family in 1937 and was listed in 1963. Approximately 80% of sales are from the construction business line and 20% from the civil engineering business line. Within the construction business line the majority of orders come from private sector real estate developments such as condominiums and facilities, the rest comes from public sector developments such as schools
- Asanuma has had notably improving profitability since 2013 due to selective project choice and improved efficiency.
- As of October 2017, the company has net cash of JPY 33 billion.
- The stock is highly liquid and the shareholders diversified, at entry the stock had the following valuations; PBR: 1.15, PER: 8 and ROE: 14.5%.

Investment scenarios:

- ➢ Improve corporate governance
- ➢ Increase dividend
- ➢ Blame for unnecessary JPY 2.55 billion equity common stock offering in March 2017

Action & proposals:

- Campaign just beginning

Outcome:

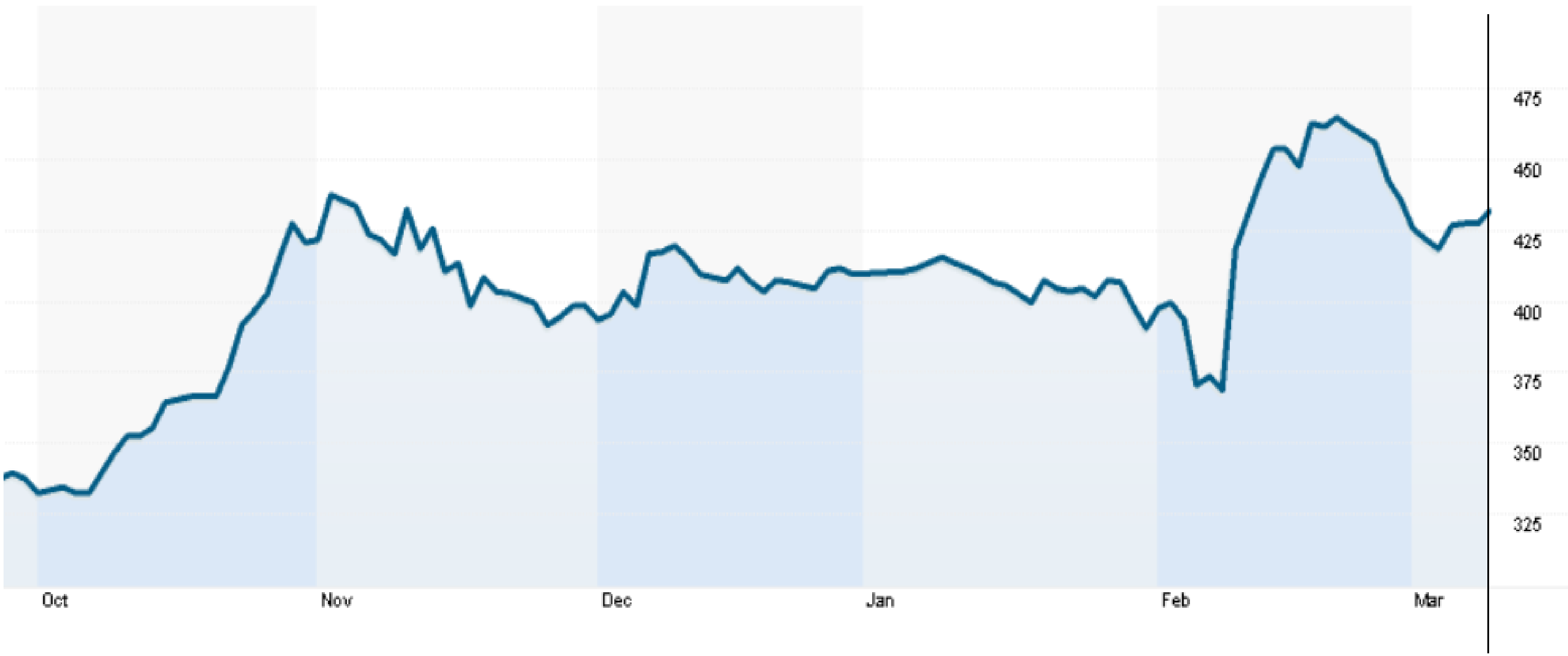
- Campaign just beginning

Asanuma Corporation (1852)

New

Proposals:
- Improve corporate governance
- Increase dividend
- Blame for unnecessary JPY 2.55 billion equity common stock offering in February 2017

Entry



Source: Reuters

New

Kyokuto Boeki Kaisha (8093)

Market cap. (JPY) – entry	Entry	Buy –Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
12.6 bn	From October 2017	403	9.97%	Current	Confidential	Confidential	Confidential	Confidential	Confidential

Company:

- Kyokuto is a trading company which specializes in machinery and equipment for a broad spectrum of industrial clients. The company was formerly part of Mitsui & Co., but became independent in 1949 and listed in 1987. Since 2011, machinery for resource exploration has been the mainstay product, other business segments include measuring and instrumentation equipment for power plans, heavy electrical machinery and machinery parts used by the steel, metals and automotive industries. Kyokuto has a stable Japanese customer base which accounts for approximately 70% of sales. The company has wholly acquired five smaller related machinery companies over the past six years.
- The stock is highly liquid with no major share holders, with the following valuation metrics at entry; PBR: 0.56 , PER: 10.84 and ROE: 5.3%.
- As of October 2017, the company has net cash of JPY10 billion.

Investment scenarios:

- Become the largest shareholder
- Blame for unnecessary JPY 1 billion equity common stock offering in July 2013
- Return of capital to shareholders

Action & proposals:

➢ Campaign just beginning

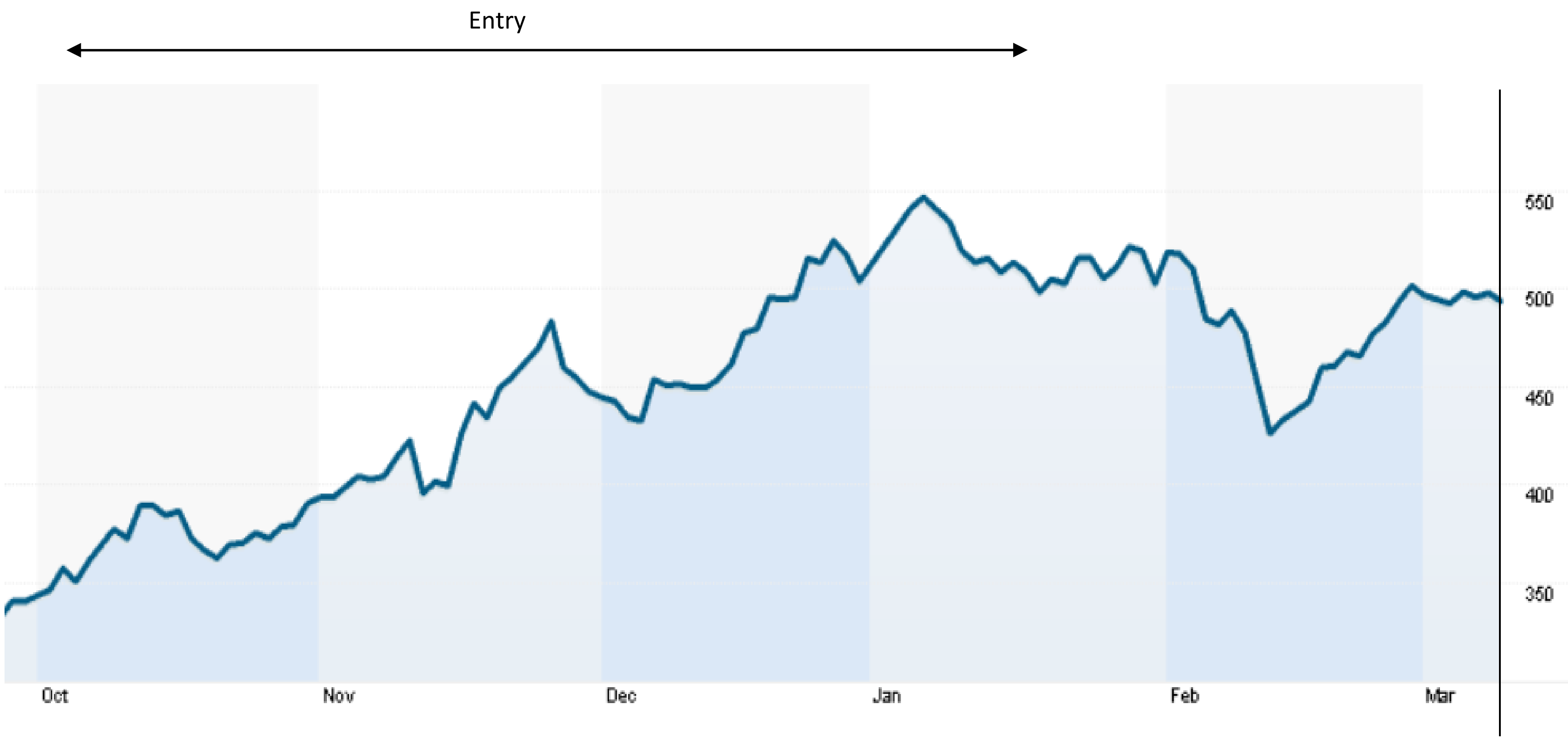
Outcome:

- Campaign just beginning

Kyokuto Boeki Kaisha (8093)

Proposals:

- Become the largest shareholder
- Return of capital to shareholders
- Blame for unnecessary JPY 1 billion equity common stock offering in July 2013



Source: Reuters

New

Keihanshin Building (8818)

Market cap. (JPY) – entry	Entry	Buy –Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
JPY 42.9bn	From October 2017	826	5%+	Current	Confidential	Confidential	Confidential	Confidential	Confidential

Company:

- Founded in 1948, Keihanshin Building serves as Sumitomo Groups real estate leasing business. 99% of sales come from building and land leasing, with the largest percentage by use coming from data centers, betting shops and offices in the Osaka area.
- Keihanshin has stable earnings, low costs and high profitability as the business is leasing only.
- At entry the stock had the following characteristics; PBR: 0.70 (0.42 if include real estate), PER 12.97, ROE 5.5%, Net cash -JPY 30 billion
- The book value of real estate assets is JPY 88.6 billion and the market value is JPY 147 billion.

Investment scenarios:

- The sale of the real estate assets to a newly established listed REIT (a much more logical and tax efficient structure), and the restructuring of Keihanshin Building into a private investment company responsible for management of the REIT
- Delisting

Action & proposals:

- New campaign as of Q4 2017

Outcome:

➢ New campaign as of Q4 2017

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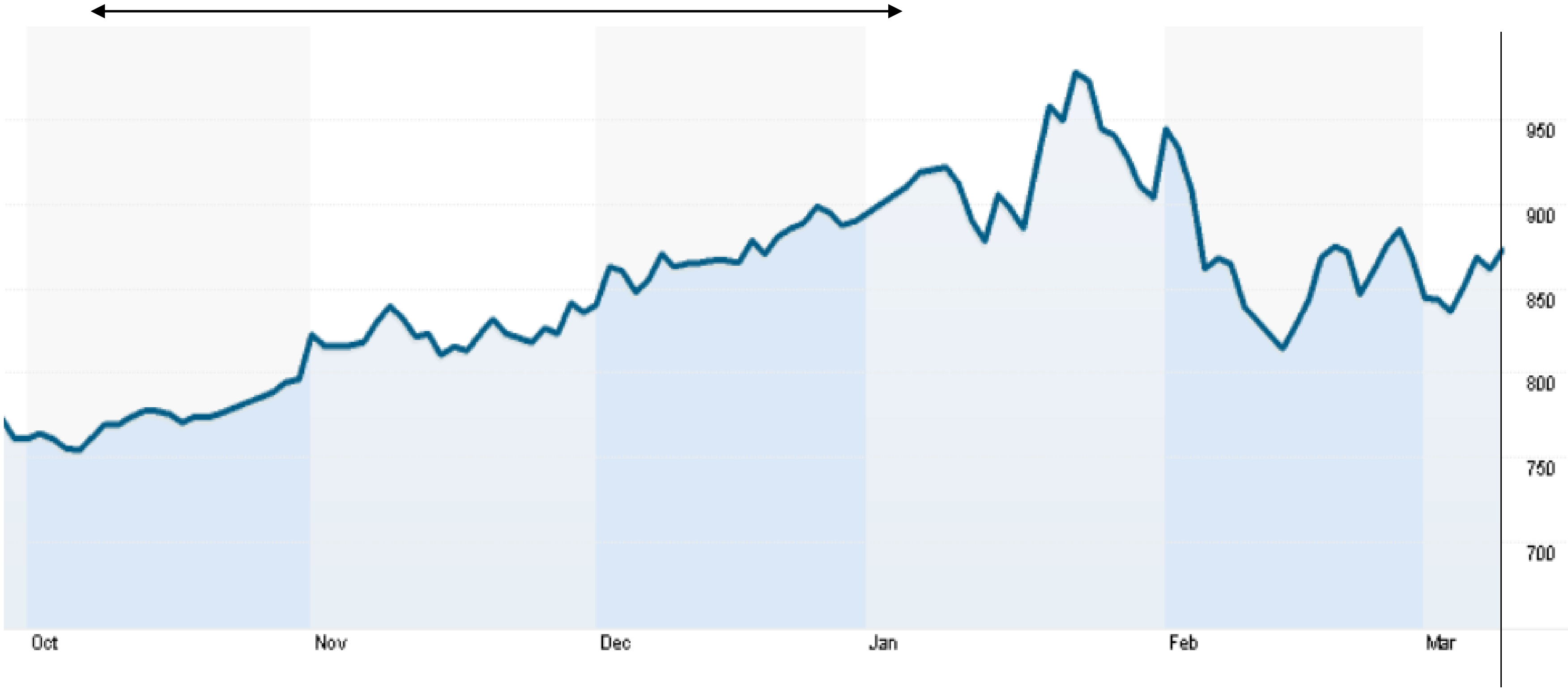
New

Keihanshin Building (8818)

Proposals:
- Sale of real estate to REIT
- Restructuring of company to REIT management company
- Delisting

Entry



Source: Reuters

New

Seikitokyu Kogyo (1898)

Market cap. (JPY) – entry	Entry	Buy –Avg. (JPY)	Peak % ownership	Approx. Duration	Exit	Sell – Avg. (JPY)	Return	IRR	Peak % of Fund NAV
JPY 25bn	From Dec. 2017	678	5%+	Current	Confidential	Confidential	Confidential	Confidential	Confidential

Company:
Seikitokyu is a road paving company formed in 1982 following the merger of Tokyu Road, Co. Ltd. and Seiki Construction Co., Ltd. Seikitokyu is a leading specialist in asphalt paving, and also has a profitable business line producing and selling asphalt mixture. Following a severe period after the economic bubble burst, Seikitokyu has made efforts to strengthen financial structure and reduce interest bearing debt (repayment to be completed in March 2018). The largest shareholder Tokyu Construction owns 22.1% and the second largest shareholder Tokyu Electric Railway holds 3.8%. At entry, the company held cash & equivalents of JPY 7.6 billion. Entry PER: 9.25, PBR: 0.96, ROE: 11.3%, EPS: JPY 66.9 and DPS: 10.

Investment scenarios:
- Improve governance
- Increase dividend

Action & proposals:
- ➢ New campaign as of Q4 2017

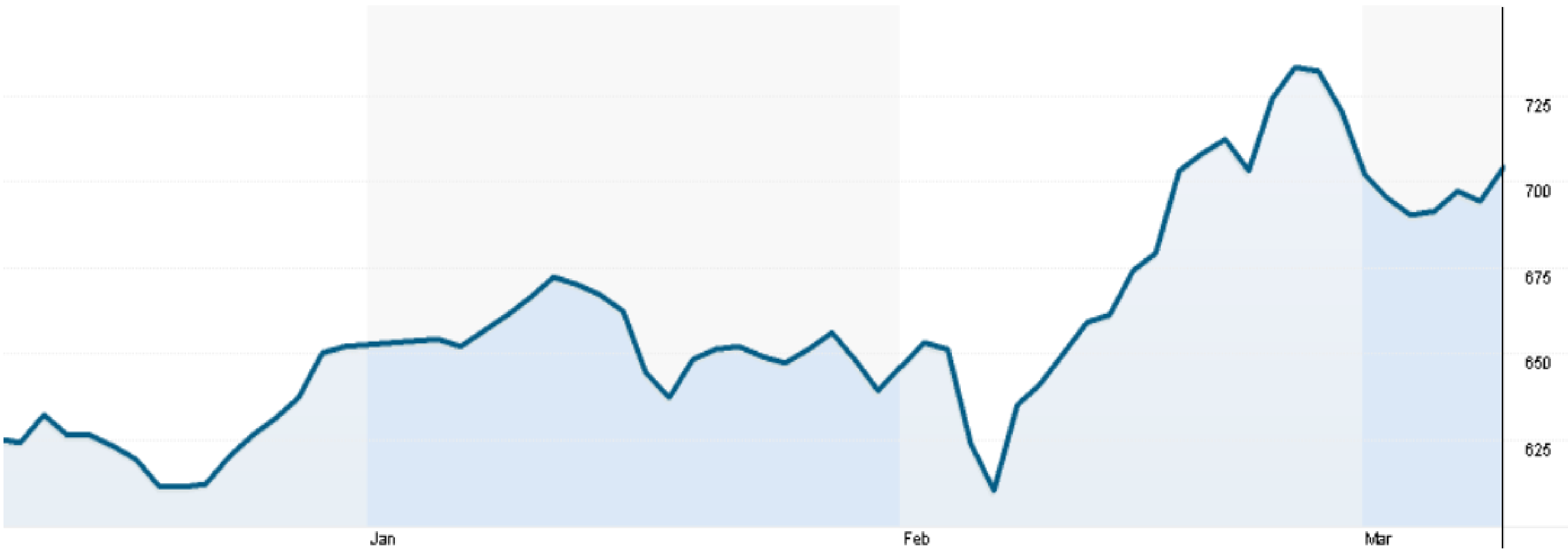
Outcome:
- ➢ New campaign as of Q4 2017

New

Seikitokyu Kogyo (1898)

Proposals:
- Improve governance
- Increase dividend

Entry



Source: Reuters

Strategic Capital
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Appendix C (Biographies)

Team Biographies

Tsuyoshi Maruki (President)

- Mr. Maruki established Strategic Capital in October 2012.
- Prior to Strategic Capital, Mr. Maruki established TNP Strategic Capital in 2010 as a JV with TNP Partners, a Japanese Venture Capital firm, to develop investment opportunities by enhancing the alliance between Japanese small and medium-sized companies and leading Asian listed corporates.
- Mr. Maruki was one of founding partners of M&A Consulting established in 1999, whose flagship fund, the MAC Active Shareholders Fund, was over 444 billion Yen. He worked active to develop the value of investee companies by proposing solutions to top management. Other than the flagship fund, he headed MAC Buyout Fund investing private equities.
- Prior to M&A Consulting, he worked for Nomura Securities for 17 years during which he led many major deals, including the privatization of Japan National Railway and other national companies. He acted as an advisor to the Japanese government on the capital injection for Japanese banks, as an advisor to the Depository Insurance Corporation and to the Financial Revitalization Agency.
- Graduate of Tokyo University with BA in Law.

Dan Kato (Senior Managing Director)

- Mr. Kato has a wide range of investment experience in private equity, distressed assets, real estate and public equity though out his career at Aetos Japan LLC, M&A Consulting and Norinchukin Bank.
- Mr. Kato was a founding member of Strategic Capital, Inc. in 2012.
- Mr. Kato was also a Managing Director at TNP Strategic Capital from 2010
- From 2007-2010, Mr. Kato worked for Aetos Japan LLC, an opportunistic investment fund, where he lead many buy-out, distressed asset, hotels and real estate transactions.
- From 2004 – 2007, Mr. Kato was a Managing Director of M&A Consulting, involved in various transactions as a senior investment professional for the MAC Active Shareholders Fund and MAC Buyout Fund.
- Prior to joining M&A Consulting in 2004, Mr. Kato spent seven years managing a JPY 500 billion alternative portfolio of private equity, distressed assets, real estate and other alternative assets at Norinchukin Bank.
- Mr. Kato joined Norinchuki Bank in 1984.
- MBA from UCLA Anderson School and BA graduate from Tokyo University.

Team Biographies

Toshiyuki Yamashita (Senior Managing Director & Head of Trading)

- Mr. Yamashita started working for Strategic Capital at launch as Head of Trading and is responsible for trade execution
- Prior to Strategic Capital, Inc., Mr. Yamashita worked with Mr. Maruki and Mr. Kato at TNP Strategic Capital from 2010 as a Managing Director.
- From 2005 to 2010, Mr. Yamashita held senior positions at two firms, CFC Research and prior to that Eagle Matrix Consulting, where he provided consulting services on M&A activities and equity trading execution for wealthy families.
- From 2002 to 2005, Mr. Yamashita worked with Mr. Maruki at M&A Consulting where he was responsible for M&A activities and business strategy.
- Mr. Yamashita started his career in 1990 in the corporate finance department of Nomura Securities. He rose to Section Chief and was responsible for providing consulting services on IPOs and M&A for various corporations, asset management firms and wealthy individuals.
- Mr. Yamashita is a BA Graduate from Hosei University.

Kiyoshige Ichikawa (Chief Compliance Officer, COO and Director)

- Mr. Ichikawa joined Strategic Capital as a Compliance Officer & Internal Auditor in November 2014, he became Chief Compliance Officer and a Director in April 2015
- Mr. Ichikawa has a wide range of experience across investment management, J-REITs and securities brokerage firms throughout his career which started with New Japan Securities (currently Mizuho Securities) in 1977.
- Prior to Strategic Capital, Inc., Mr. Ichikawa worked as a General Manager in the Compliance Department at Rakuten Investment Management. Prior to Rakuten Investment Management he was the Internal Auditor at United World Securities and the Head of Operations & Compliance at Mitsubishi Corporate Capital (now known as Mitsubishi Corporation Asset Management).
- Prior to this he worked for the Bank of Ireland Asset Management Japan as the Compliance Officer and for Asset Realty Managers as an Internal Auditor.
- From 1997 to 2006, Mr. Ichikawa was the General Manager of Compliance and Fund Evaluation at Shinko Investment Trust.
- Mr. Ichikawa holds a BA Mathematics from Waseda University, and is a Chartered Member of Security Analyst Association (CMA) and has Internal Control Manager License of JASDA.

Team Biographies

Henry Wake (Principal, Investor Relations)

- Mr. Wake joined Strategic Capital, Inc. in March 2015 to work on overseas business development and investor relations.
- From 2011 to 2015, Mr. Wake worked for a boutique Tokyo based hedge fund marketing firm called Matrix Ascent K.K., which is run by a former Director of Strategic Business Development at Caxton Associates. While at Matrix Ascent, Mr. Wake worked with established US managers such as Kingdon Capital Management and Angelo Gordon & Co. to assist with business development efforts in Japan and Asia. At Matrix Ascent, Mr. Wake was responsible for fund research and origination, client relationship management, project management and investor relations.
- Prior to moving to Tokyo in July 2011, he was an Analyst in the London office of MVision Private Equity Advisors assisting with project management, document production and global fund raising execution for various private equity firms.
- Mr. Wake started his career in the alternative investment industry in 2009 as an intern with a European focused hedge fund marketing firm called MCAM Group in Geneva.
- MSc International Management from King's College London.

Nobumi Kuboyama (Office Manager & Back Office)

- Ms. Kuboyama joined Strategic Capital, Inc. in November 2016.
- From 2011 to 2016., Ms. Kuboyama worked in Business Support for NTT Finance.
- From 2005 to 2011, she was Group Secretary for Toyota Corolla Yokohama.
- Ms. Kuboyama started her career with Toyota Motors in 2000.
- Graduate of Kanazawa University.

Atsuko Shingyouchi (Senior Equity Research Analyst, External)

- From 2006 onwards, Ms. Shingyouchi has chosen to produce equity research independently on a contract/part-time basis for a small number of investment managers she knows well.
- In August 2001; she joined MAC Asset Management as an Analyst responsible for stock research, and in 2004 she became a Senior Analyst responsible for the overall management of the equity research department as well as researching stocks for potential inclusion in the portfolio.
- Ms. Shingyouchi started her career in 1990 at Nomura Securities. At Nomura Securities she worked in the Underwriting Evaluation Department and Capital Markets Department in both Tokyo and Osaka where she was responsible for company research and underwriting public offerings and IPOs for small and mid-size Japanese domestic corporations.
- BA Graduate of Commerce from Waseda University

Appendix D (Legal Disclosure)

Important Disclosure

The foregoing presentation is provided on a confidential basis for discussion purposes only and is not an offer to sell or the solicitation of an offer to buy an interest in the Japan-Up Unit Trust (the “Japan Up Fund”) or any other current or future investment fund managed by Strategic Capital, Inc. (“Strategic Capital”).

This document contains highly confidential information regarding the Japan Up Fund's investments, strategy and organization. Your acceptance of this document constitutes your agreement to (i) keep confidential all the information contained in this document, as well as any information derived by you from the information contained in this document (collectively, "Confid36ential Information") and not disclose any such Confidential Information to any other person, (ii) not use any of the Confidential Information for any purpose other than to evaluate or monitor investments with Strategic, (iii) not to use the Confidential Information for purposes of trading security, (iv) not copy this document without the prior consent of Strategic, and (v) promptly return this document and copies hereof to Strategic Capital upon Strategic Capital’s request, in each case subject to the confidentiality provisions more fully set forth in any other written agreement between the recipient and Strategic.
Certain information in this presentation has been obtained from sources outside of Strategic Capital. While such information is believed to be reliable for the purposes used herein, no representations are made as to the accuracy or completeness thereof and Strategic takes no responsibility for such information.

Prospective investors should be aware that an investment in the Japan Up Fund is speculative, may be volatile and involves a high degree of risk. The following is a summary of only certain considerations and is qualified in its entirety by the more detailed information in the “Risk Factors and Potential Conflicts of Interest” section of the Japan Up Fund’s Private Placement Memorandum. You should read the Private Placement Memorandum carefully, including the risk factors and potential conflicts of interest described therein, before investing in the Japan Up Fund.

No assurance of Investment Return. There can be no assurance that the Japan Up Fund’s objectives will be achieved or that an investor will receive any return on its investment in the Japan Up Fund. The Japan Up Fund’s performance may be volatile. An investment should only be considered by persons who can afford a loss of their entire investment. Past activities of investment entities sponsored by Strategic provide no assurance of future results.

Important Disclosure

Leverage. While leverage presents opportunities for increasing the absolute return on investments, it also has the effect of potentially increasing losses as well.

Highly Competitive Market for Investment Opportunities. The activity of identifying, completing and realizing attractive investments is highly competitive, and involves a high degree of uncertainty. There can be no assurance that the Japan Up Fund will be able to locate, consummate and exit investments that satisfy their rate of return objectives or realize upon their values or that they will be able to invest fully their committed capital.

Reliance on Key Management Personnel. The success of the Japan Up Fund will depend, in large part, upon the skill and expertise of certain Strategic Capital professionals. In the event of the death, disability or departure of any key Strategic Capital professionals, the business and the performance of the Japan Up Fund may be adversely affected.

Limited Liquidity. There is no organized secondary market for interests in the Japan Up Fund and none is expected to develop. There are restrictions on withdrawal and transfer of interests in Japan Up Fund.

Projections. Actual realized value of currently unrealized investments will depend on, among other factors, future operating results, the value of the assets and market conditions at the time of disposition, any related transaction costs and the timing and manner of sale, all of which may differ from the assumptions and circumstances on which the current unrealized valuations are based. Accordingly, the actual realized values of unrealized investments may differ materially from the values indicated herein. While we currently believe that the assumptions contained in this document are reasonable under the circumstances, there is no guarantee that the conditions on which such assumptions are based will materialize or otherwise be applicable to the investments. Further fund investment details are available upon request.

Important Disclosure

Hong Kong

The contents of this document have not been reviewed by any regulatory authority in Hong Kong. You are advised to exercise caution in relation to the offer. If you are in any doubt about any of the contents of this document, you should obtain independent professional advice.

Units in the Japan-Up Unit Trust ("Fund") may not be offered or sold in Hong Kong by means of this document or any other document other than (i) in circumstances which do not constitute an offer to the public for the purposes of the Hong Kong Securities and Futures Ordinance or any other applicable legislation in Hong Kong (collectively, the "HK Laws") and (ii) by such person(s) and/or entity(ies) in compliance with the requirements of the HK Laws. This document is distributed on a confidential basis and may not be reproduced in any form or transmitted to any person other than the person to whom it has been sent. No unit in the Fund will be issued to any person other than the person to whom the relevant offering documents of the Fund have been sent.

Japan

The Units may not be offered for a public offering in Japan unless a securities registration statement pursuant to Article 4, Paragraph 1 of the Financial Instruments and Exchange Act of Japan (including any amendments or successor laws, the "FIEA") has been filed with the Director of the Kanto Local Finance Bureau of the Ministry of Finance of Japan.

No securities registration statement for a public offering has been made or will be made with respect to the solicitation for the purchase of the Units in Japan as the Units will be offered in Japan as an "expanded small number private placement" (*kakudai shouninzu shibo*) and such offering does not fall within the definition of a “public offering” as defined in Article 2, Paragraph 3, Item 1 or Article 2, Paragraph 3, Item 2 of the FIEA.

In addition to any other applicable transfer restrictions as set forth in the Declaration of Trust of the Fund and in the Offering Memorandum, if the Unitholder is a "qualified institutional investor" as defined under Article 2, Paragraph 3, Item 1 of the FIEA and Article 10 of the Cabinet Office Ordinance regarding Definitions under Article 2 of the FIEA (*tekikaku kikan toushika*, "Qualified Institutional Investor") at the time that it subscribed for or acquired Units in the Fund, such Unitholder shall agree in the subscription agreement not to directly or indirectly, sell, exchange, assign, mortgage, hypothecate, pledge or otherwise transfer its Units (or any interest therein) in whole or in part to any party other than to another Qualified Institutional Investor.

If the Unitholder is not a Qualified Institutional Investor, such Unitholder shall be required to agree in the subscription agreement that it will not, directly or indirectly, sell, exchange, assign, mortgage, hypothecate, pledge or otherwise transfer its Units in the Fund unless it is transferring the entirety of its Units in the Fund to a single transferee.

Furthermore, as a result of the form of the offering of the Units of Fund in Japan and the registration of the Investment Manager with the FSA, only "Qualified Investors" as defined under Article 29-5 Paragraph 3 of the FIEA and Article 15-10-5 of the Enforcement Ordinance of the FIEA (*tekikaku toushika*, "Qualified Investors") may subscribe for Units in the Fund. Furthermore, in addition to any other transfer restrictions as set forth in the Declaration of Trust of the Fund and in the Offering Memorandum, each Qualified Investor shall agree in the subscription agreement not to directly or indirectly, sell, exchange, assign, mortgage, hypothecate, pledge or otherwise transfer its Units (or any interest therein) in whole or in part to any party other than to another Qualified Investor.

Any transferee of a Unitholder in the Fund will be required to agree to comply with the transfer restrictions described above.

Singapore

This document is provided as an overview of the Fund and is for informational purposes only, and does not constitute an offer to sell, or a solicitation of an offer to buy, any Unit of the Fund. If such an offer is made, it will only be made by the Offering Memorandum, which would contain material information (including certain risks of investing in the Fund) not contained in this document and which would supersede and qualify in its entirety the information set forth in this document.

The offer or invitation of the Units of the Fund does not relate to a collective investment scheme which is authorised under Section 286 of the Securities and Futures Act, Chapter 289 of Singapore (the “SFA”) or recognised under Section 287 of the SFA. The Fund is not authorised or recognised by the Monetary Authority of Singapore (the “MAS”) and the Units of the Fund are not allowed to be offered to the retail public. This document and any other document or material issued in connection with the offer or sale is not a prospectus as defined in the SFA. Accordingly, statutory liability under the SFA in relation to the content of prospectuses does not apply, and the offeree should consider carefully whether the investment is suitable for him/her.

Important Disclosure

No action has been taken pursuant to the SFA to permit the distribution of this document in any jurisdiction where action would be required for such purpose and no person receiving a copy of this document in any territory outside of Singapore may treat the same as constituting an offer to that person to purchase or subscribe for Units of the Fund unless in the relevant territory where such an invitation could lawfully be made without compliance with any registration or other legal requirement.

This document has not been registered as a prospectus with the MAS. Accordingly, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of Units of the Fund may not be circulated or distributed, nor may Units of the Fund be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons in Singapore other than (i) to an institutional investor under Section 304 of the SFA, (ii) pursuant to, and in accordance with, the conditions of an exemption in Section 302C of the SFA where the offer, sale or invitation to the intended recipient of this document is not made with a view to the Units of the Fund being subsequently the subject of an offer, sale or invitation to another person under Section 302C or Section 305C of the SFA, (iii) to a relevant person pursuant to Section 305(1), or any person pursuant to Section 305(2), and in accordance with the conditions specified in Section 305, of the SFA, or (iv) otherwise pursuant to, and in accordance with the conditions of, any other applicable provision of the SFA.

Where the Units of the Fund are subscribed or purchased under Section 305 by a relevant person which is:

(A) a corporation (which is not an accredited investor (as defined in Section 4A of the SFA)), the sole business of which is to hold investments and the entire share capital of which is owned by one or more individuals, each of whom is an accredited investor; or

(B) a trust (where the trustee is not an accredited investor) whose sole purpose is to hold investments and each beneficiary of the trust is an individual who is an accredited investor,

securities (as defined in Section 239(1) of the SFA) of that corporation or the beneficiaries' rights and interest (however described) in that trust shall not be transferred within six months after that corporation or that trust has acquired the Units pursuant to an offer made under Section 305 except:

i. to an institutional investor or to a relevant person defined in Section 305(5) of the SFA, or (in the case of a corporation) where the transfer arises from an offer referred to in Section 305A(2)(i)(B) of the SFA or (in the case of a trust) where the transfer arises from an offer referred to in Section 305A(3)(i)(B) of the SFA;
ii. where no consideration is or will be given for the transfer;
iii. where the transfer is by operation of law;
iv. as specified in Section 305A(5) of the SFA; or
v. as specified in Regulation 36 of the Securities and Futures (Offer of Investments) (Collective Investment Schemes) Regulations 2005 of Singapore.

United Kingdom

This document constitutes a financial promotion pursuant to section 21 of the United Kingdom Financial Services and Markets Act 2000, as amended ("FSMA") and where requested by a prospective investor acting on its own initiative is issued by us on a confidential basis to a limited number of eligible investors for the sole purpose of providing information about an investment in the Fund. This document should not be distributed, published or reproduced, in whole or in part, nor should its contents be disclosed by recipients to any other person other than their professional advisers.

The Fund is a collective investment scheme as defined in Part XVII of the FSMA. The Fund has not been authorized, recognized or otherwise approved by the Financial Conduct Authority in accordance with FSMA and, as an unregulated scheme, it may not be promoted to the general public in the United Kingdom. Accordingly, this communication is made to persons in the United Kingdom only if they fall within the following categories of exempt persons under the Financial Services and Markets Act (Financial Promotion) Order 2005, as amended (the "Order"): (1) persons who are investment professionals, as defined in Article 19 of the Order; (2) persons who are high net worth companies, unincorporated associations etc., as defined in Article 49 of the Order; or (3) persons to whom it may otherwise lawfully be communicated. Communication of this document to, or reliance on it by, any person who is not an exempt person is unauthorized and may contravene FSMA and any such person should return it immediately.

Potential investors in the United Kingdom are advised that all, or most, of the protections afforded by the UK regulatory system will not apply to an investment in the Fund and that compensation will not be available under the Financial Services Compensation Scheme of the United Kingdom.

Important Disclosure

United States

The Fund has not been registered under the U.S. Investment Company Act of 1940, as amended, and the interests therein have not been registered under the Securities Act of 1933, as amended (the "1933 Act"), or in any state or under foreign securities laws. Interests in the Fund will be offered only to "Accredited Investors" as such term is defined under the 1933 Act.

The Fund will be offered in the United States and to US persons under procedures that comply with exemptions established in US federal and state securities law and regulations and no offering is being made by way of public solicitation. The Subscription Agreement and related documentation will require Unitholders to make certain representations regarding their eligibility to invest in the Fund.

Switzerland

The Fund has not been registered and will not be registered with the Swiss Financial Market Supervisory Authority. No representative and no paying agent have been appointed. This document and any information relating to the Fund are only intended to be provided to regulated qualified investors within the meaning of article 10(3)(a)(b) of the Collective Investment Schemes Act of 23 June 2006 and its implementing ordinance (the "Regulated Qualified Investors"). If the recipient of this document is not a Regulated Qualified Investor, such a recipient hereby acknowledges and certifies that it is acting on its own initiative without any prior contact from the Fund, its affiliates or any third party agent with respect to the receipt of this document and any information relating to the Fund. This document cannot be distributed and may only be used by those persons to whom it has been handed out.

United Kingdom

This document constitutes a financial promotion pursuant to section 21 of the United Kingdom Financial Services and Markets Act 2000, as amended ("FSMA") and where requested by a prospective investor acting on its own initiative is issued by us on a confidential basis to a limited number of eligible investors for the sole purpose of providing information about an investment in the Fund. This document should not be distributed, published or reproduced, in whole or in part, nor should its contents be disclosed by recipients to any other person other than their professional advisers.